Monthly Reg CB
LFF/ CNLS/ Projects Catchup

Sep 2025

Previous Meeting Follow Up

No.	Topic	Action Items	Updates	PIC	DDL
1	**TH TISI Impact**	Follow up with TH on necessity to impose such strict restrictions on FBS WH to avoid potential back-and-forth in the future; Share VN example	Recently there's spike in GR risk as the TH minister of industry is specifically targeting Chinese owned inventory after the collapse building case from May earthquake. Thus TH believes the restriction are required In the long run, the plan is to have government API sync with TH Shopee and license constraints expected to be at listing level, impacting all fulfillment channels. Thus the strict the constraints are expected to be long term	Jason	22 Aug
3	**CB FBS Free Trial**	Align with Mohit's team on free trial mechanics to secure long-term seller commitment to FBS and propose plan for CB across markets	Proposed mechanism for CB FBS in slide 15. Once aligned, will bring to each markets for final alignment and rollout in month 3	Jason	Mid Sep
4	**CNLS Seller Movement**	Structurally reassess site expansion opportunities and prioritizations, and to optimize organization of programs and action plans	To share details in later sections	Ray	5 Sep
5	**CNLS FBS**	Improve local fbs onboarding process benchmarking against cb fbs	To share details in later sections	Ray	5 Sep
6	**Counter Taobao Program**	- Validate accuracy of current price comp data - Validate assortment match rate data with further sample checks - Continue to push assortment gap closure and price competitiveness while exploring more dimensions to close TB gaps	Price Comp - Aligned with CN SMT on weekly NPC result and the attribution of issue to either logistic fee/platform fee/seller mark up. Match Rate Check - WIP With CBBI (By 15 Sep)	Jason	29 Aug

Key Topics

1. **LFF**
   a. **Performance Update**
   b. Free Trial Update
   c. Anbo new model Update
2. **CNLS**
3. **Counter TB**

[CB MP LFF Key Metrics] CB LFF ADO at 778k, +7% MoM; LFF ADO% of CB grew 1.2pp to 30.7%; FBS ADO% grew 0.6pp to 6.1%; Blackstock qty improved

CB MP LFF Topline and Blackstock (Jan'25 to Aug'25)

		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	MoM	Dec'25 (proj)	Dec'26 (proj)
CB MP LFF (Total)	**LFF ADO**[1]	512,403	510,007	560,895	572,188	662,168	717,429	726,917	1 778,711	7%	1,348,912	1,987,520
	... FBS (Local WH only)	81,128	83,418	94,258	97,657	104,308	119,096	131,411	154,107	17%	325,186	561,779
	... 3PF incl seller own WH	431,275	426,589	466,637	474,531	557,860	598,333	595,506	624,604	5%	1,023,726	1,425,741
	LFF ADO% CB MP	21.5%	23.1%	24.6%	26.8%	27.4%	27.8%	29.5%	2 30.7%	1.2pp	43.7%	55.3%
	FBS ADO% CB MP	3.4%	3.8%	4.1%	4.6%	4.3%	4.6%	5.3%	6.1%	0.6pp	10.5%	15.6%
	FBS New SKU # (monthly)	2,960	1,252	345	5,672	5,121	6,616	7,273	7,752	7%	/	/
	Blackstock Qty (%)	16.1%	17.4%	21.7%	20.1%	18.9%	18.2%	18.2%	3 16.8%	1.4pp	/	/

1: Removed NNWH from the LFF topline base to show the true local fulfillment business size

Key Highlights

1. For full month of August, CB Local Fulfilment grew 7% to 779k ADO, FBS grew 17% to 154K ADO
2. ADO Penetration to CB MP grew 1.2pp to 30.7%
3. Black stock qty improved driven by RTS and increased selling speed in PH WH

[CB MP LFF Key Metrics - By Markets] TH and PH missed targets due to WH capacity issues, MoM growth is okay and more aggressive vs 3PFs

CB MP LFF Key Metrics by Market (Aug'25 full month performance)

CB MP		SG			MY			TH			VN			PH			Total		
		MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM
Topline	**LFF ADO**[1]	32,140	**105.2%**	10.8%	144,962	**100.7%**	8.9%	158,309	**106.2%**	11.6%	37,604	**95.5%**	12.6%	405,695	**95.1%**	3.1%	778,711	**99%**	6.6%
	... FBS (Local CBWH)	15,168	**108.5%**	17.1%	49,338	**109.2%**	17.7%	20,309	**76.3%**	23.3%	-	-	-	69,292	**93.7%**	15.3%	154,107	**96.5%**	17.3%
	... 3PF	16,972	**102.4%**	5.7%	95,624	**96.8%**	4.9%	138,000	**112.7%**	13.5%	37,604	**95.5%**	12.6%	336,403	**95.4%**	0.9%	624,604	**104.9%**	4.9%
	LFF ADO% CB MP	16.8%	**97.8%**	0.5pp	35.2%	**100.5%**	0.9pp	36.0%	**102.0%**	0.3pp	7.3%	**99.1%**	0.9pp	41.4%	**91.8%**	1.0pp	30.7%	**96.8%**	1.0pp
	FBS ADO% CB MP	7.9%	**100.8%**	0.6pp	12.0%	**109.1%**	1.2pp	4.6%	**71.8%**	-0.5pp	-	-	-	7.1%	**90.4%**	0.9pp	6.1%	**94.7%**	0.7pp
FBS Inventory Health	Blackstock Qty%	18.5%	**61.8%**	3.0pp	15.8%	**63.3%**	-0.1pp	21.3%	**71.1%**	-3.5pp	-	-	-	15.8%	**63.3%**	-3.4pp	16.8%	-	-1.7pp
	ATP%	93.1%	**116.4%**	5.9pp	92.1%	**115.1%**	8.1pp	86.6%	**108.2%**	5.9pp	-	-	-	90.8%	**113.5%**	2.9pp	90.5%	-	5.4pp

1: Removed NNWH from the LFF topline base to show the true local fulfillment business size

Key Highlights

1. LFF Aug ADO at 778.7k, RR at 99%. ADO% of CB MP at 30.7%, +1pp MoM.

2. FBS Aug ADO at 154.1k, RR at 96.5%; FBS ADO% of CB MP at 6.1%, +0.7pp MoM. All markets ADO RR on track except TH Local CBWH and PH:
   a. TH Local CBWH RR at 76.3% due to low New SKU inbound RR. Next step to expedite new sellers acquisition with FBS Free Trial while TH WH is having space constraints and pending space alignment to kickstart Free Trial pitching
   b. PH EOM RR at 93.7% mainly due to CN underperformance **impacted by WH capacity blockers.** And target RR was improved in Aug H2 (+18.4% vs Aug H1) through additional support provided by traffic initiatives for FBS. **Next steps: 1) Increased investments from sellers in anticipation of 9.9 mega campaign, 2) Additional $52k budget to clear high DOC SKUs, 3) SMT pushing sellers to lower prices on 0 ADIS SKUs, 4) 6 new WHs to open by end Sep for more inbound capacity, and will continue to push for onboarding rate via free trial, 5) Top seller Sacelady to rejoin FBS, pushing for first inbound.**

[LFF penetration vs TTS] Gap between SHP LFF% and TTS LFF% (excl VN) is narrowed from 7% in Jun'25 to 2% in Jul'25; We target for this to be 51% in Dec'25, better than TTS by 6pp

Table: SHP vs TTS CB LFF (including 3PF) Penetration Comparison (Jun'25 & Jul'25 Actual vs Dec'25 Projected)

	Jun'25 (Actual)			Jul'25 (Actual)			Dec'25 (Projected)		
Market	**TTS LFF%**	**SHP LFF%**	**SHP% vs TTS%**	**TTS LFF%**	**SHP LFF%**	**SHP% vs TTS%**	**TTS LFF%**	**SHP LFF%**	**SHP% vs TTS%**
SG	15%	16%	**1%**	14%	16%	**2%**	20%	26%	**6%**
MY	32%	33%	**2%**	29%	34%	**5%**	35%	46%	**11%**
TH[1]	43%	32%	**-11%**	40%	35%	**-6%**	3 45%	46%	**1%**
VN[1]	32%	5%	**-27%**	34%	6%	**-28%**	2 40%	19%	**-21%**
PH	46%	39%	**-6%**	42%	40%	**-2%**	50%	58%	**8%**
Total SEA	**39%**	**28%**	**-12%**	**37%**	**30%**	**-8%**	**44%**	**44%**	**0%**
Total excl VN	**41%**	**35%**	**-7%**	1 **38%**	**36%**	**-2%**	**45%**	**51%**	**6%**

1: Removed NNWH from the TH/VN LFF base to ensure an apple-to-apple comparison against TTS LFF.

Key Highlights

1. The gap between SHP LFF% (excl VN) and TTS LFF% (excl VN) is narrowed from **7% in Jun'25 to 2% in Jul'25**, driven by **SHP LFF% increasing from 35% to 36%** while **TTS LFF% decreased from 41% to 38%**; We aim for SHP CB LFF penetration to grow to 51% in Dec'25 (6pp higher than TTS)
   a. TTS is able to drive LFF more effectively vs Shopee due to 1) 100% reliance on partner 3PFs (better seller adoption due to multiplatform coverage), 2) higher coverage of short tail SKUs that are easier to acquire
2. For **VN (excl NNWH)**, we are lagging behind **TTS CB LFF penetration by 27%** in Jun'25 and 28% in Jul'25 due to TTS driving 3PFs faster from being non-compliant with government regulation.
   a. We aim for VN 3PF **penetration to grow to 19%** and the gap vs TTS LFF% to be narrowed to 21% by Dec'25 (ADG SOB vs TTS at 1.1x)
   b. Push plan: 1) VNCB rollout new local payout solution on 29 Aug to address previous blocker of Seller's LOA notarization, and 2) aim to finalize and launch new incentive scheme (fee waiver + PRM) for existing and new 3PF sellers this week
3. For **TH**, adjusted down Dec'25 FBS local WH target to factor in the impact from **1) TISI & FDA license compliance; 2) commission increase and new platform support fee; 3) new IB policy of ADIS control.** We have aligned to push non-compliant listings via 3PF, and still aim for **LFF penetration to be 1pp higher than TTS LFF% by Dec'25**

[Backup - CB FBS Topline Projection] We target CB LFF% of CB MP to be 55% and CB FBS (Local CBWH)% of CB MP to be 16% by Dec'26; For markets with local CBWH, FBS will hit 21% by Dec'26

Table: CB MP LFF and FBS ADO% to Total CB MP

		SG			MY			TH[1]			VN			PH[2]			SEA excl. VN			SEA incl. VN		
		Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)	Jul'25 (Actual)	Dec'25 (Proj)	Dec'26 (Proj)
SHP CB LFF %	**LFF %**	16%	26%	32%	34%	46%	55%	35%	46%	60%	6%	19%	40%	40%	58%	66%	36%	51%	60%	30%	2 44%	55%
	- FBS (Local CBWH) %	7%	13%	20%	11%	18%	27%	4%	7%	13%	0%	0%	0%	6%	14%	21%	7%	14%	21%	5%	1 11%	16%
	- 3PF %	9%	12%	13%	23%	28%	28%	31%	39%	47%	6%	19%	40%	34%	44%	45%	29%	37%	40%	24%	33%	40%
Breakdown by seller group																						
CNCB LFF %	**LFF %**	23%	38%	53%	41%	54%	67%	36%	47%	61%	6%	19%	40%	43%	61%	70%	39%	56%	67%	32%	47%	60%
	- FBS (Local CBWH) %	8%	17%	30%	12%	20%	32%	4%	7%	13%	0%	0%	0%	6%	15%	22%	7%	14%	22%	5%	11%	17%
	- 3PF %	15%	21%	23%	29%	34%	35%	32%	40%	48%	6%	19%	40%	36%	46%	48%	33%	41%	45%	26%	36%	43%
KRCB LFF %	**LFF %**	30%	40%	46%	46%	48%	65%	34%	38%	44%	23%	38%	45%	27%	30%	34%	34%	38%	46%	31%	38%	46%
	- FBS %	30%	40%	46%	46%	46%	64%	31%	33%	38%	0%	0%	0%	25%	30%	34%	32%	37%	45%	25%	27%	31%
	- 3PF %	0%	0%	0%	1%	1%	1%	3%	5%	6%	23%	38%	45%	2%	0%	0%	1%	1%	1%	6%	11%	14%

1: TH adjusted down FBS (local CBWH) target to factor in the impact from license compliance, and adjusted up 3PF target accordingly to aim for the same LFF penetration target and will push non-compliant listings via 3PF
2: PHCB is under discussion to adjust up the topline

Key Highlights

1. Looking forward, we aim for total CB LFF penetration to CB MP to increase from 44% to 55% by Dec '26
2. We also target for CB FBS (local CBWH) penetration to CB MP to grow from 11% to 16%.

[Reg LFF Focus Areas] Sep priorities will be to focus on 1) better acquisition via free trial across markets and 2) new projects to solve pain points of sellers/ RMs/WHs

Key Pillars	Levers	Remarks
Growth and Acquisition	New Seller/ New SKU acquisition	• Monthly FBS new acquired SKU# grew by 162% from 3k in Jan to 8k in Aug • Push CB FBS Free Trial adoption and retention ○ Push agreed rate and onboard rate in SG/MY/PH ○ TH on hold due to insufficient WH space by Dec'25. In progress to clarify WH space to refine timeline/ mechanism ○ Plan to launch 3+9 package at month 3 for retention Deep dive today
	Rate card governance to ensure competitiveness	• (Done) Ensure all markets rate card are competitive vs top 3PF, except SG; SG will use bespoke rate card process to expedite on new shops acquisition
	Growth blockers removal	• (Done) Revamp IB capacity planning process and launch new VAS to enhance flexibility for last min inbound demands • (Done) Provide VAS per seller needs, e.g., relabeling, extra packaging (seller paid)
	FBS incentive programs	• Plan the streamlined incentives in 2026 including 1) streamline new shops acquisition incentives such as sun-setting new shop first 3 months FBS ADO base comm waiver/Base comm rebate to top sellers and 2) sunset of ads support
LFF Positioning review	NNWH positioning review	• To increase base commission and remove SLS discount for NNWH for TH/VN. Timeline: seller comm in Sep, effective from Oct • Once VN 3PF solution is tested, assess and align if to stop NNWH operations and consolidate volume at Anbo
New Projects	New Staging WH model	• Assess cost impact for new staging WH model and align pilot plan ○ Simulate cost impact and identify potential risks to be validated by pilot before scale up ○ Target to finalize pilot plan in Sep and conduct pilot in Q4'25 Deep dive today
	System improvement	• (Done) Fix system issue for inbound requests approval to avoid unnecessary manual escalation process for sellers • Enhance system selling speed calculation via factoring the seasonality factor to reduce OOS and enhance ATP

Key Topics

1. **LFF**
   a. Performance Update
   b. Free Trial Update
   c. Anbo new model Update
2. **CNLS**
3. **Counter TB**

[CB FBS Free Trial] Recap: We’ve streamlined CB FBS free trial across markets to push new to FBS shops acquisition with 3-6 months free handling fee for XS-M tier

Table: CB FBS Free Trial Overview in SG/MY/PH/TH

	SG	MY	PH	TH
Eligible Sellers	1 New to FBS sellers (Shop ADO>5, no inbound history in L3M)	New to FBS sellers (Shop ADO>5, no inbound history in L3M)	New to FBS sellers (Shop ADO>10, no inbound history)	New to FBS sellers (Shop ADO>5, no inbound history)
Offer Details	Free Handling fee (Only for XS-M tier, excl. L/ bulky)	Free Handling fee (Only for XS-M tier, excl. L/ bulky)	Free Handling fee (Only for XS-M tier, excl. L/ bulky)	Free Handling fee (for XS-M tier, excl. L/ bulky) But lower commission fee discount from 6% to 3%
Duration	6 months	6 months	6 months (12 months for PHP/ PHM)	3 months
Status	2 Launched on 6 Aug	Launched on 6 Aug	Launched in late Jun	On hold due to WH capacity constraints

Key Highlights

1. We’ve streamlined CB FBS free trial across SG/MY/PH/TH markets to push new to FBS shops acquisition with 3-6 month free handling fee for XS-M tier
2. Status: All markets have launched Free Trial except TH. PH launched in late Jun; SG/MY launched on 6 Aug; **TH on hold due to WH capacity constraints**, WIP to align new sku/model inbound quota and evaluate if new SKU# control measure is needed for free trial to limit new SKU inbound quantity, ETA: by EoW

[CB FBS Free Trial] As of 3 Sep, SG/MY pitching seller coverage rate is at 85-95%; PH pitching rate 98%; we are working to improve seller agree rate and expedite seller onboarding

Table: SG/MY/PH Free Trial Pitching Result (as of 3 Sep)

Shop Type	Metrics	Market	Pitching Result								
			Total for Pitching	Pitched	Pitch Rate (%)	Seller Responded	Response Rate (%)	Seller Agreed	Agree Rate (%)	Seller Onboarded (Raised PN)	Seller Onboarded (Raised PN %)
Managed Shop	Shop #	SG	2,327	1,974	1 85%	1,422	61%	173	2 7%	37	2 2%
		MY	4,731	4,506	95%	3,419	72%	739	16%	186	4%
		PH	5,217	5,138	98%	3,545	68%	1,221	23%	727	14%
		Total	**12,275**	**11,618**	**95%**	**8,386**	**68%**	**2,133**	**17%**	**950**	**8%**
	Shop ADO	SG	47,331	40,726	86%	30,746	65%	4,302	9%	1,287	3%
		MY	138,740	135,268	97%	110,609	80%	26,972	19%	10,530	8%
		PH	633,507	624,528	99%	515,880	81%	168,508	27%	121,257	19%
		Total	**819,578**	**800,522**	**98%**	**657,235**	**80%**	**199,782**	**24%**	**133,074**	**16%**
Non-Managed Shop	Shop #	SG	1,840	195	1 11%	13	1%	3	0%	0	0%
		MY	4,646	250	5%	50	1%	3	0%	0	0%
		PH	3,440	2,021	59%	1,537	45%	1,283	37%	199	6%
		Total	**9,926**	**2,466**	**25%**	**1,600**	**16%**	**1,289**	**13%**	**199**	**2%**
	Shop ADO	SG	22,085	2,516	11%	247	1%	39	0%	0	0%
		MY	66,816	4,637	7%	1,907	3%	32	0%	0	0%
		PH	139,816	82,351	59%	67,542	48%	51,225	37%	7,708	6%
		Total	**228,717**	**89,504**	**39%**	**69,696**	**30%**	**51,295**	**22%**	**7,708**	**3%**

Raise PN = Raise product nomination request, an action which seller needs to go through when going through FBS onboarding in system, we use this to measure if seller has actioned on the agreement to join FBS

Key Highlights

1. Pitch rate has been good across market for managed sellers, between 85-95%; Unmanaged pitch rate is high for PH because PH did pitching from late June, before CN RMs had a round of restructuring, the current unmanaged sellers were managed in MT before
   a. Next step: We will target 100% for managed shop and pitch high priority non-managed sellers

2. Agree rate and seller who actually actioned on the agreement is lower for MY/SG vs PH due to PH having started pitching earlier, we are pushing for seller to action and expect this number to increase in the coming weeks

[CB FBS Free Trial] Top rejection reasons are Multi-platform operation (16%), Seller Own WH (15%) and Long Tail SKU/ models (14%), we are repitching for sellers without specific reasons

Table: SG/MY/PH Free Trial Rejection reasons deep dive (shop ADO% among rejection shops)

Type	Rejection reason	Total	SG	MY	PH
Non - Addressable	Long-tail SKU/ models	1a 14%	7%	3%	19%
	Customized products	8%	4%	13%	7%
	Counterfeits/ Prohibited	3%	4%	8%	1%
	ABS too low to cover WH handling fee/ no cost saving	3%	12%	10%	0%
	Seasonal & trending	0%	1%	1%	0%
Subtotal		**30%**	**28%**	**36%**	**28%**
Addressable Long Term	Multi-platform operation	1a 16%	4%	11%	20%
	Seller-own WH	15%	3%	11%	17%
	Lack of manpower to plan / execute LFF replenishment	5%	1b 21%	15%	0%
	Seller prefer 3PF to gain traffic with duplicated listing and shared inventory	4%	4%	6%	2%
Subtotal		**40%**	**31%**	**43%**	**40%**
In progress to validate and re-pitch	3PFs offer cheaper rate card	5%	1%	1%	7%
	SKU require special handling/packaging	3%	4%	3%	2%
	Strict inbound policy	1%	1%	2%	0%
	Lost contact	1%	1%	2%	0%
	Restriction on large & bulky	0%	0%	1%	0%
	Others	21%	33%	12%	22%
Subtotal		1 **30%**	**41%**	**21%**	**32%**
Total		**100%**	**100%**	**100%**	**100%**

1. Out of the rejection, 30% is non-addressable, 40% is addressable long term (mainly multi-platform and seller own WH) and in progress to re-pitch for the rest 30%
   a. Top rejection reasons across markets are Multi-platform operation (16%), Seller Own WH (15%) and Long Tail SKU/ models (14%)
   b. Lack of manpower to plan/ execute LFF replenishment are common rejection reasons for SG/MY. To assess and test if Anbo new staging model (leverage Choice capability to plan/ execute replenishment) can solve seller pain points and convert sellers

[CB FBS Free Trial] 3PF sellers are more responsive than SLS sellers, but agree rate and seller actual onboarded rate (Raised PN rate) are on par

Table: SG/MY/PH Free Trial Pitching Result Breakdown by Shop Fulfillment Type (as of 3 Sep)

Metrics	Fulfillment Type	Total for Pitching	Pitched	Pitch Rate (%)	Seller Responded	Response Rate (%)	Seller Agreed	Agree Rate (%)	Seller Raise PN	Raise PN Rate (%)
Shop #	SLS	15,816	9,529	60%	6,917	1 44%	2,485	1 16%	829	5%
	3PF	6,385	4,555	71%	3,068	48%	936	15%	325	5%
	Total	**22,201**	**14,084**	**63%**	**9,985**	**45%**	**3,421**	**15%**	**1,154**	**5%**
Shop ADO	SLS	617,975	499,036	81%	414,418	67%	166,865	27%	95,584	15%
	3PF	430,321	390,990	91%	312,508	73%	84,206	20%	45,547	11%
	Total	**1,048,295**	**890,026**	**85%**	**726,926**	**69%**	**251,072**	**24%**	**141,131**	**13%**

Key Highlights

1. Overall, 3PF sellers show a slightly higher response rate than SLS sellers, but agree rate and raise PN rate are on par.
2. Rejection reasons differ by fulfillment type: For 3PF shops, the top 2 rejection reasons are multi-platform operations (35%) and seller own WH (25%), accounting for ~60% of total rejected 3PF seller ADO. For SLS shops, the top 2 rejection reasons are customized/seasonal/trendy SKUs unsuitable for FBS (30%) and lack of manpower (10%), accounting for ~40% of total rejected SLS seller ADO.
3. Next steps to further push via
    a. Address and convert sellers with short-term addressable rejection reasons
    b. Review top 3PF/SLS sellers case-by-case to identify tailored levers required for the conversion of these specific sellers

[CB FBS Free Trial] Propose 12 months (6 month free + 6 month 50% discount of handling fee) FBS retention plan to drive seller retention and ensure sellers' long-term commitment to FBS

WIP to align with local markets

Background: To drive seller retention and ensure sellers' long-term commitment to FBS, we propose to assess seller's' willingness to stay in FBS for at least 12 months **at the 3-month checkpoint** by offering an extended discount package (free for the first 6 months, 50% discount for the next 6 months).

Scenario	Seller Response at Month 3	Offer / Benefit	Seller Commitment	Treatment
1	Willing to commit beyond 6 months	- Continue original free trial plan of free for first 6 month - Newly offer 50% discount for next 6 months	- Stay in FBS ≥ 12 months - Ensure FBS order % of shop ADO hit target level	- If seller exit before 12 months, claw back all past free trial benefits
2	Not willing to commit	NA	NA	- Drop from free trial and charge full rate of FBS - No claw back of past free trial benefits
3	Undecided	- Continue original free trial plan of free for first 6 month	NA	- Charge full rate of FBS after free trial - Discounted rate may be offered at discretion to key/top ADO FBS seller if they are still unsure about FBS

Key Topics

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Executive Summary

Context

- **Pain point #1:** Some SLS sellers **rejected FBS** due to **lack of manpower** to plan and execute replenishment
- **Pain point #2:** Local WH asks for **lower DOC** from CB sellers (currently 60 days vs expected 40-50) and CB sellers have challenges meeting this due to longer shipment lead time, and competitive services from 3PF

New Solution

- We will explore using CN Choice WH as storage/replenishment WH to solve current pain points with below value proposition
  - **Acquire more sellers to join FBS** by lowering SLS sellers entry barrier and removing DOC/ Blackstock restrictions to acquire more 3PF sellers
  - Leverage SCS inventory management capabilities to achieve **high ATP with lower DOC**
  - Potentially ease **local CBWH capacity pressure** with lower DOC stored locally
- SCS Choice will leveraging existing capabilities to replenish for sellers who adopt these model using
  - More **frequent replenishment** and **smaller DOC** per replenishment

True cost impact

- With this model, **incremental true cost projected at +0.27 USD per item sold, implying 3.4% of CB FBS item price**. Initial plan to **charge sellers to cover for extra cost**
  - Estimated CN storage WH **CPI at $0.15**, higher than current SCS LFF WH (Langhua) actual by $0.1 because SCS can do Fast in Fast out model which can't be replicated for MP FBS

Next steps

- Propose to have a quick start with **small-scale pilot in Oct** with existing Anbo MP FBS sellers. Key areas to be validated by pilot:
  - 1) Validate if can achieve high ATP but low OOS for MP sellers
  - 2) Test end to end operation and seller behaviour to define control policy as needed
  - 3) Validate cost assumptions

[Value Proposition Summary] Anbo storage WH model allows us to acquire more sellers to join FBS, increase ATP and lower DOC, and potentially ease local CBWH capacity pressure

Seller Target segment	SLS sellers	3PF sellers	FBS sellers
Issues to solve	Some sellers not able to do FBS due to lack of manpower / expertise to do LFF inventory planning and replenishment	Some sellers prefer 3PF over FBS for 3PF's higher flexibility on DOC and Blackstock treatment	Some sellers require higher DOC for long shipment lead time and buffer in case demand spike
New model target output	**Lower SLS sellers entry barriers** to run FBS and test their new products with FBS	**Offer seller flexibility on DOC** and ease the Blackstock control pressure	**Offer seller flexibility on DOC** and ease the Blackstock control pressure
SHP structural advantage	1. SCS inventory management capabilities to keep low DOC 2. SCS frequent replenishment at weekly basis and combined with MP FCL service to maintain low cost for sea-shipping		
New Model Value prop	1. **Acquire more sellers** to join FBS by lowering SLS sellers entry barrier and removing DOC/ Blackstock restrictions to acquire more 3PF sellers 2. Leverage SCS inventory management capabilities to achieve **high ATP with lower DOC** 3. Potentially ease **local CBWH capacity pressure** with lower DOC stored locally		

[SCS inventory management capabilities] CB SCS has demonstrated lower DOC at 30-36 and lower BS% at 9-13%, and ATP% definition is different vs MP

Table: Inventory management comparison between CB SCS FBS and CB MP FBS (Aug'25)

	DOC			Blackstock %			ATP%			
	CB SCS	CB MP	1 SCS vs MP	CB SCS	CB MP	1 SCS vs MP	CB SCS (SCS definition)	CB SCS (CBMP definition)	CB MP	2 SCS vs MP
SG	-	58	n/a	-	19%	n/a	-		93%	n/a
MY	34	56	-22	10%	16%	-6%	97%	73%	92%	+5%/-19%
TH (local)	36	64	-28	9%	18%	-9%	99%	71%	87%	+12%/-16%
PH	29	71	-43	13%	16%	-3%	98%	51%	91%	+7%/-40%

Highlight

1. CB SCS has demonstrated lower DOC at 30-36 and lower BS% at 9-13%

2. However, current ATP% metrics show a mixed view given CB SCS and CB MP under different definitions. Next propose to test via small scale pilot to see if new model can help MP sellers achieve on par/ higher ATP%
   - Definition difference: CB SCS ATP% zoom into a subset of SKUs that confirmed will replenish while MP ATP% definition look into all performing SKU and weighted by SKU ADIS
   - If based on SCS definition, SCS ATP% outperformed MP by 5-12%
   - If based on MP definition, SCS ATP% will be lower at 50-70% and lower by current MP ATP%

[CN staging WH] There are 2 Choice WHs which can be considered; Suggest to start pilot in Langhua WH to streamline with SCS LFF operation and move to Anbo when scale up

Choice WH in CN that can be considered for new model

	Anbo WH	Langhua WH
Position	SCS/MP fulfilment WH directly to buyers via SLS	SCS Staging WH for LFF SKU for Sea-shipping to local CBWH
Location	China Dongguan (東莞)	China Huizhou (惠州, 2-3 hr drive from Anbo WH)
Space	Total 56k sqm, spare space at 15-18k (~68% utilization)	Total 20.8k sqm, spare space at 8-10k (~58% utilization)
Cost	Higher CPI at 0.165 USD ● rental/ manpower more expensive	Lower CPI at 0.05 USD ● in lower tier city, cheaper for rental/ manpower

- There're 2 Choice WH in CN can be consider for new model. Both can achieve target value proposition
- Suggest to start pilot in Langhua WH to streamline with SCS LFF operation and move to Anbo when scale up/ need more space

[CN staging WH CPI impact] Estimated CN staging WH CPI at 0.15, higher than current SCS actual by 0.1 mainly due to higher temp. manpower and rental cost

New MP model CPI for CN staging WH (Langhua)

		SCS actual	Storage model*	Remark
CPI Total		1 $0.0507	**$0.1531**	Expect MP new model CPI higher by 0.1
Variable cost	Sub-total	$0.0250	$0.0917	
	Temp manpower	1a $0.0200	$0.0868	Expect MP new model higher as not Fast in fast out model
	Consumables	$0.0035	$0.0035	
	Transportation	$0.0014	$0.0014	
Fixed cost	Sub-total	$0.0257	$0.0614	
	FTE	$0.0062	$0.0062	
	BPO	$0.0012	$0.0012	
	Rental+Depreciation	1b $0.0140	$0.0496	Expect MP higher due to 1) bulkier 2) longer DOC vs SCS
	G&A	$0.0043	$0.0043	

Note: New MP model CPI simulation assume daily outbound qty at 1k (current Anbo MP FBS scale) and not yet consider CPI saving when scale up

1. Estimated CN staging WH CPI at 0.15, higher than current SCS actual by 0.1 mainly due to higher temp. manpower and rental cost
   a. **Temp manpower:** SCS actual cost low at 0.02 due to 72% volume is via Fast-In-Fast-Out model (FIFO) with limited handling. However, FIFO model requires suppliers to deliver the corresponding quantity based on SCS weekly restocking needs. To achieve this, suppliers need to split the shipment into multiple packages and bear the higher shipping costs, which is hard to replicate for MP and thus expect MP cost much higher than SCS actual at 0.09
   b. **Rental + Depreciation:** SCS actual cost low at 0.014 due to 1) SCS SKU majority are XS, smaller than MP 2) with Fast-In-Fast-Out model, the DOC in Langhua is low at 5 days. However, for MP, we expect sellers to use it as staging WH with at least 35-50 days. Thus expect MP cost much higher at 0.05

[Overall True cost impact] Incremental cost projected at +0.27 USD per item sold, implying 3.4% of CB FBS item price. Initial plan to charge sellers to cover for extra cost

SHP true cost impact overview (per item sold)

		Total	SG	MY	TH	PH	Remark
Incremental Cost per item	CN WH incremental cost	$0.153	$0.153	$0.153	$0.153	$0.153	Incremental storage cost and handling cost of using Langhua WH
	Incremental logistics cost	-	-	-	-	-	No additional cost (use SLS B2B seashipping)
	Extra manpower for replenishment planning	Required 1-2 FTE when scale up					There are currently 11-12 FTE to plan for 70k Choice ADO
	Blackstock cost	$0.114	$0.389	$0.093	$0.168	$0.099	Assume SHP bears blackstock cost (cost = COGS of seller, benchmarking SCS markup principles)
	A) Total Incremental cost of Storage Model 1	**$0.267**	**$0.542**	**$0.246**	**$0.321**	**$0.252**	
Implied % to item price	B) FBS average item price	$8.0	$15.2	$8.9	$9.0	$6.7	
	A/B) implied cost to item price 2	**3.4%**	**3.6%**	**2.8%**	**3.6%**	**3.8%**	

Highlights

1. Incremental cost at avg 0.27 per item sold, including 0.11 from estimated Blackstock loss and 0.15 from CN WH cost
2. Initial assessment is we can charge sellers extra to cover the extra 0.27 cost per item (implying 3.4% of CB FBS item price) given
   - When SLS sellers converted from LFF, generally sellers end-to-end can save **0.5-1.5 USD per item** from cheaper sea-shipping shipment, base commission and tax saving in some of the markets
   - After converted to LFF, the new model also saves seller cost include a) internal manpower cost to do inventory and sea-shipping management b) potential expensive storage fee at local CBWH 3) Blackstock risks and related cost

[Next Step] Propose to have a quick start with small-scale Pilot in Q4 to 1) test ATP% improvement 2) validate cost assumption and define rate card 3) refine control policy

Table: What need to be tested via Pilot

	What could go wrong/ Potential Risk	Pilot focus
1 **ATP% improvement**	**As we will have less control for MP SKUs vs Choice, to validate if can achieve high ATP but low OOS for MP sellers**	• Monitor ATP% (MP definition) improvement
2 **WH Ops & CPI**	**WH CPI higher than expected due to MP sellers difference vs SCS**	• Test E2E ops process • Monitor CPI and DOC at local CBWH and CN WH
3 **Blackstock treatment**	**Blackstock cost higher than expected** • SCS has done 2 things to avoid Blackstock: 1) selectively picks constant fast-selling SKU for LFF 2) factor in both internal budget and platform resource plan to accurately project selling speed • However, for new model with MP, SHP will have much less control/ visibility for these 2 and at risk for higher cost for Blackstock vs Choice	• Monitor Blackstock % and cost • Set up policy for BS cost control and mechanism to work with sellers (e..

For next steps, propose to have a quick start with small-scale Pilot in Q4 with existing Anbo MP FBS sellers

Key areas to be validated by pilot:

- As we will have less control for MP SKUs vs Choice, to validate if can achieve high ATP but low OOS for MP sellers
- Validate operation and blackstock cost as input to define official rate card
- Test end to end operation and seller behaviour and define control policy as needed

[Backup] Propose pilot to start with existing Anbo FBS MP sellers

Targeted top Anbo FBS MP sellers

Exact pilot seller list subject to pitching results

Seller info				Market presence (FBS ADO)				FBS SKU quality			
#	GGP name	Shop ADO	Anbo FBS ADO	SG	MY	TH	PH	SKU #	avg ADIS	% of sku_cnt (ADIS>0.5)	% of sku_cnt (ADIS>1)
1	深圳市聚热网络科技有限公司- GGP	1,169	101	n/a	n/a	15	86	397	123	15.1%	6.8%
2	上海噶尔电子科技有限公司- GGP	142	101	11	20	37	33	552	129	13.6%	2.7%
3	昆明同迈艺铭商贸有限公司 - GGP	141	53	22	n/a	6	24	281	62	10.0%	3.2%
4	深圳市雅苑服装设计有限公司 - GGP	653	39	6	13	10	10	872	49	0.1%	0.0%
5	东莞市特越模具钢材有限公司 - GGP	55	32	0	15	5	12	99	39	19.2%	11.1%
6	中山市黄圃镇琉扬电子商务工作室（个体工商户）- GGP	66	32	0	20	n/a	12	35	36	42.9%	28.6%
7	深圳市希良电子商务有限公司 - GGP	65	28	n/a	n/a	n/a	28	22	31	63.6%	45.5%
8	昆明纽臧电子商务有限公司 - GGP	65	28	n/a	3	3	21	104	32	12.5%	6.7%
9	深圳市长德昇科技有限公司- GGP	119	26	5	8	3	9	184	34	8.7%	2.2%
10	广州奥洋贸易有限公司 - GGP	83	24	2	3	3	17	92	55	32.6%	16.3%
11	广西宁兰贸易有限公司 - GGP	74	23	4	2	4	13	124	26	10.5%	2.4%
12	深圳尚枫时代科技有限公司- GGP	248	20	n/a	4	5	10	157	21	3.2%	0.6%
13	深圳市潮励电子有限公司 - GGP	317	14	0	4	0	9	31	15	25.8%	12.9%
14	衡阳市高分服饰有限公司 - GGP	71	13	1	8	3	2	69	16	10.1%	2.9%
15	厦门凝光网络科技有限公司- GGP	15	10	3	2	3	2	106	13	5.7%	0.9%
Total		3,283	541	54	102	98	288	3,125	679	9.92%	3.81%

Key Topics

1. **LFF**
2. **CNLS**
   a. **Performance Update**
   b. Site expansion
   c. FBS progress update
3. **Counter TB**

[Recap] Regional CNLS to focus on optimizing CNLS seller management structure and defend & grow CNLS SOB to resolve most pressing pain points RMs/sellers encountered

Pillars	Levers	Sep. Priorities
Optimize CNLS Seller mgmt. structure	Gate keep CNLS seller mgmt. framework	• **Ensure clear account ownership**: account movement on track; Q3 managed transfer shop list under confirmation, effective Oct 1st
	Optimize KPI	• **Ensure CN CNLS KPI unification & alignment with market priorities**: designing Q4 unified KPI, Target to discuss with CN and sync with Local in mid Sep.
Defend & grow CNLS SOB	Ensure CIR fair share	• **Updated PH local SSP trial run in Sept**, trial coverage pending PH/CN confirm
	Seller site expansion	To deep dive • **Drive seller movement across markets:** ○ Seller expansion **trend analysis** to understand site expansion potential in CNLS total growth ○ Seller expansion **lane and model prioritization** ○ Seller expansion **target setting** and **action plans**
	SKU migration	• **Ensure seller assortment completeness vs. TT:** assessing opportunities of TTS top selling pool migration with lower price
	FBS adoption acceleration	To deep dive • **Increase pitching success rate:** 1) RM repitch; 2) streamline free trials in terms of duration across markets; 3) Open co-shared stock and bundle sale functions to attract more sellers • **Increase inbound rate:** 1) RM push sellers to start onboarding and inbounding process; 2) optimize FBS systems to enable auto fetch and online the whole procedures to accelerate

[CNLS Performance - Overall] CNLS ADO grew 21% from Jan to Aug 2025, outpacing 3% vs platform, with VN and ID leading the growth

		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Aug vs. Jan	vs. Platform
Topline	CNLS ADO	1,755,079	1,770,646	1,976,070	1,947,373	2,073,156	2,217,994	2,159,304	2,128,149	21.3%	3.4%
	CNLS ADG	11,752,745	11,800,635	12,287,099	12,449,503	13,195,927	13,733,270	13,663,645	13,448,756	14.4%	5.4%
Investment TR	Paid Ads	4.8%	4.8%	5.0%	5.3%	5.5%	6.0%	6.1%	6.3%	1.5%	0.7%
	AMS	0.7%	0.7%	0.8%	0.8%	0.8%	0.9%	0.9%	1.0%	0.3%	0.2%
Content ADG	Livestream	10.3%	10.1%	9.7%	9.4%	9.0%	8.6%	8.8%	8.8%	-1.4%	-1.5%
	Video	7.0%	6.9%	7.7%	8.2%	8.8%	9.5%	10.1%	11.7%	4.7%	2.3%

Key Highlights:

- Topline: Total CNLS ADO **grew 21.3%** from Jan-Aug 2025, exceeding platform growth by 3.4%. **VN (+125%) and ID (+34%) led growth**
- Investment TR: Paid ads **increased by 1.5%** and AMS **grew 0.3%**, both outperformed platform, demonstrating enhanced seller adoption
- Content ADG Coverage: Livestream decreased by 1.4%, mainly impacted by TH and ID; Video increased by 4.7%, outperformed platform for 2.3%

[CNLS Performance - By Market] August CNLS took a dip in topline, mainly due to PH and ID impacted by focus category seasonality

Metrics		ALL			MY			TH			ID			VN			PH		
		MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM	MTD Actual	RR	MoM
Topline	ADO	2,128,149	96.8%	-1.4%	122,286	95.4%	4.0%	411,122	103.3%	9.1%	778,796	92.5%	-5.7%	121,604	105.0%	9.4%	694,341	97.1%	-4.6%
	ADG	13,448,756	98.1%	-1.6%	1,278,260	99.3%	1.3%	3,034,856	104.6%	7.8%	4,609,198	92.8%	-5.4%	811,034	107.1%	7.9%	3,715,409	97.9%	-6.3%
Investment Spend	Paid Ads	845,879	95.9%	1.3%	82,604	97.8%	6.4%	185,015	106.7%	10.4%	312,568	91.5%	-2.2%	47,392	98.2%	6.5%	218,300	93.2%	-3.3%
	AMS	138,018	104.8%	11.4%	12,162	98.0%	11.8%	28,738	112.1%	14.9%	45,461	106.1%	10.5%	12,283	162.0%	76.4%	39,374	91.1%	-1.2%
Content ADG	Livestream	1,189,376	98.4%	-1.6%	100,539	110.8%	10.8%	196,101	91.2%	-9.8%	600,778	95.1%	-6.8%	152,925	113.1%	22.1%	139,034	102.1%	6.0%
	Video	1,577,601	112.7%	14.3%	101,755	103.5%	18.0%	337,526	136.2%	18.5%	568,445	119.5%	20.7%	90,062	106.4%	10.4%	479,813	97.2%	5.2%

Notes: MTD Actual as of Aug 31th; for the unified KPI metrics which local CNLS doesn't track, the RR is calculated as reference

Key Highlights:

1 **MY CNLS:**
- **ADO MoM +4%,** underperformed mainly due to top seller GST (ADO MoM -7%) shortened LTD campaign period to 3-4 days and Brand Originote new sku OOS
- **Next steps:** Team has push seller improved voucher mechanics to have lower min spend and higher sku coverage and will offer deep discounts for a few top SKUs in 9/9; AMS and Paid Ads take rate both uplift MoM

2 **ID CNLS:**
- **ADO MoM -6%,** underperformed mainly due to CN CNLS **normalization after back to school season following platform trend**, mainly impact Home and Living and Stationary category contributed to 30% of CN CNLS total GMV (vs. platform ~20%); Paid Ads and Livestream suffered from the same causes
- **Next steps:** RM are pushing seller to increase ads investment and set more bundle sales to drive IPO

3 **PH CNLS:**
- **ADO MoM -5%**, behind the target mainly due to Local CNLS **normalization after back to school and rainy season sale surge**, mainly impact Home and living category contributed to 29% of local CNLS total GMV (vs. platform ~20%); Seller investment and content also affected by the trend
- **Next steps:** Local SSP target to launch in September to drive growth; RM are pushing HL seller for listing Party Supplies products, expecting X'mas related products will start to move on 9.9

Key Topics

1. **LFF**
2. **CNLS**
   a. Performance Update
   b. **Site expansion**
   c. FBS progress update
3. **Counter TB**

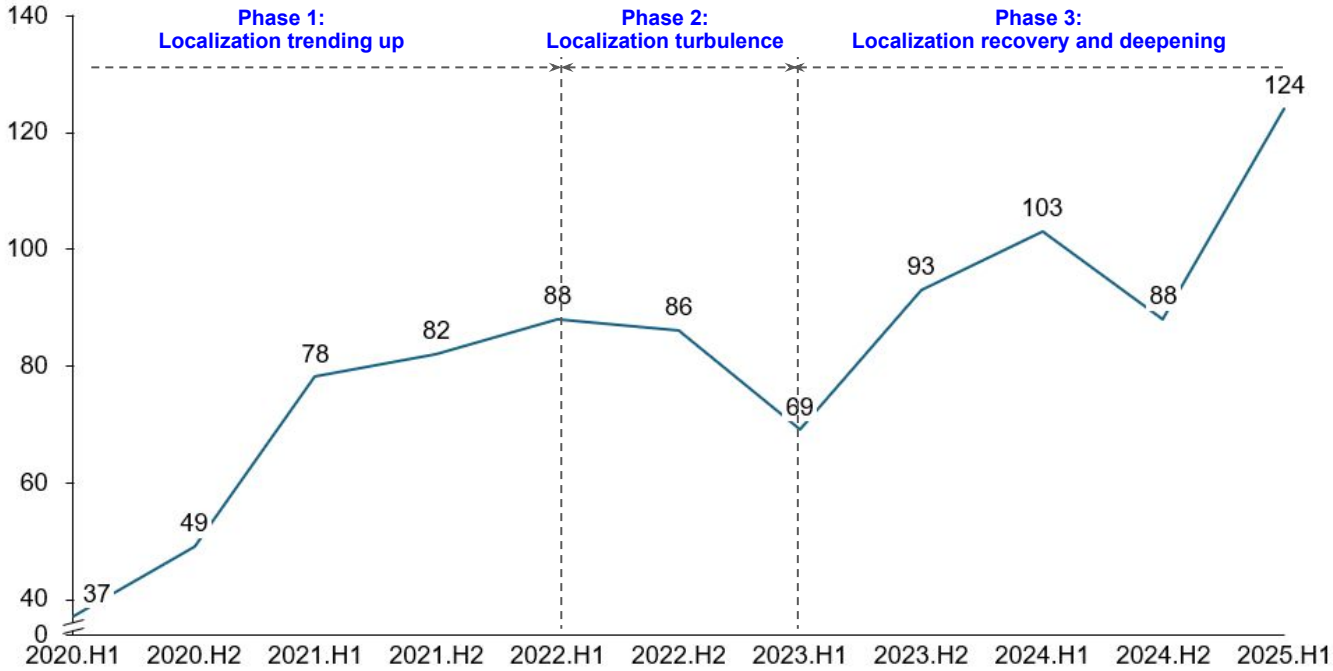
[Site expansion] Executive summary

- **[Why] Do we see the trend of site expansion?** Yes, 1) site expansion **seller # increased** from 37 in 2020H1 to 124 in 2025H2; 2) **site expansion ADO increased** from ~3k to ~120k, **indicating growth contribution** increased from **~4%** to **~9%**. **Thus, we should capture site expansion as a significant growth opportunity.**
- **[How] What lane should we prioritize?**
  - **By import market,** we will prioritize **ID/MY as P0 import markets**, since seller are attracted by **larger market size and less competition**
  - **By export market,** increasing sellers are expanding from PH due to largest seller size
- **[How] What model should we prioritize?**
  - We plan to segment sellers according to their **site expansion interest level** and **operation presence**
    - Pitch seller with **strong interest** straightly with **CNLS model**
    - Pitch sellers with **medium interest and CN operation presence** with **CB model**
    - Pitch sellers with **medium interest and local operation presence** with **Direct model**
- **[Levers] What should we do to accelerate the process and unleash full potential?**
  - **For CNLS model**
    - **To accelerate the onboarding process,** we will help sellers set-up local operation infra, streamline store opening and ensure effective SHP management during expansion
    - **To accelerate seller growth after onboarding**, we will provide tailored **incentives along seller journey** across incubation, growth and mature phase
  - **For Direct and CNLS model,** we will **increase adoption rate** by align Direct lane prioritization with overall site expansion, and provide incentives that highlight fee waiver and free trial
- **[Target setting and ownership]**

  As preliminary opportunity assessment, for CNLS model, we expect ~140k ADO by 2025 YE, and ~200k ADO by 2026 YE
  - We suggest **regional role** (for type 1&3) **or export RM** (for type 2) to **pitch and hold responsibility for seller # onboard** for better seller experience and less RM workload. And **import market** to hold key responsibility for **site expansion ADO**
- **[Next step]**
  - **Align targets with CN and Local CNLS**, and **assign and align owner and timeline for each lever**

[Site expansion-Why] We have seen increasing # of sellers who expanded their local presence, from 37 in 2020 H1 to 124 in 2025 H1

Site expansion seller#



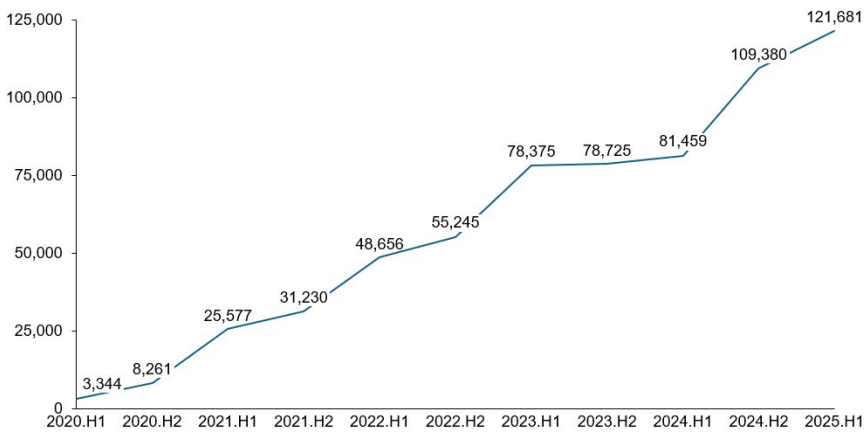
Highlight

We have observed three phases of site expansion

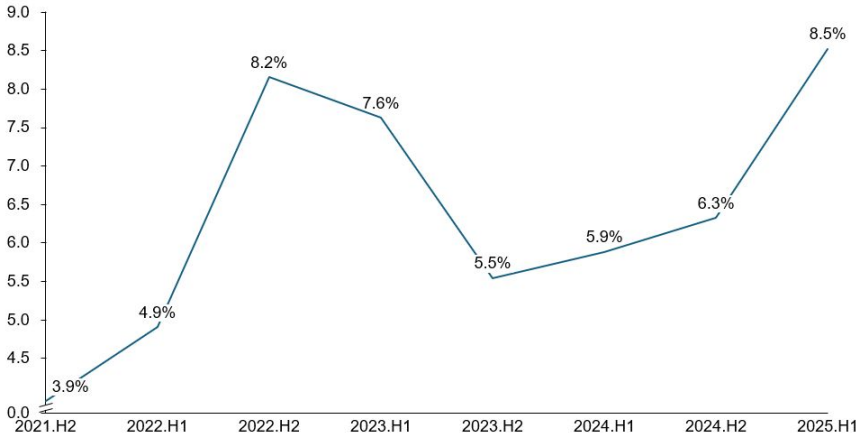
- **Phase 1, 2020H1 - 2022H1:** localization trending up
- **Phase 2, 2022H2 - 2023H1:** turbulence caused by tightened fake local shop checks and covid lock-down
- **Phase 3, 2023H2 and forward:** Recovery and deepened localization, where we can see a **clear ramp up trend in seller #** who expanded their local presence

[Site expansion-Why] Site expansion ADO has been increasing and contributes ~9% of CNLS total ADO growth in 2025H1, indicating site expansion as a significant growth opportunity that we should capture

Site expansion ADO



Site expansion ADO contribution to overall CNLS ADO growth , %



Highlight

We should capture site expansion with ADO and growth contribution trending up:

- **Site expansion ADO** increased from **~3k in 2020 H1** to **~120k in 2025 H1**
- **Site expansion ADO contribution to overall CNIS** also steadily increased, In 2021 H2, **~4% of CNLS ADO growth was driven by site expansion,** with this share increasing to **~9% in 2025 H1**

Note: site expansion that occurs within two years will be counted as ADO contribution; CNLS sellers' first market presence will not be calculated as site expansion

[Back up] We include ADO from all site expansions initiated within the past two years, as a new local shop typically requires ~2 years for its hyper growth stage

Hyper growth stage, Semiannual data >100%

CNLS shop ADO Semiannual CAGR

onboard date	H2	H3	H4	H5	H6	H7
2020.H1	590%	304%	198%	162%	123%	118%
2020.H2	267%	138%	131%	100%	99%	86%
2021.H1	126%	93%	61%	61%	68%	59%
2021.H2	312%	132%	140%	100%	83%	71%
2022.H1	217%	141%	114%	127%	71%	63%
2022.H2	196%	157%	104%	83%	70%	-
2023.H1	239%	116%	105%	103%	-	-

[Site expansion-How] We will position ID and MY as P0 import markets

Seller expansion lane distribution

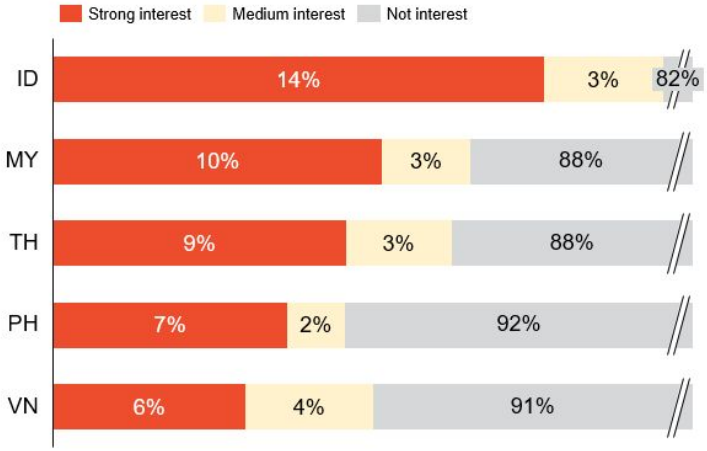
Seller # by import markets

	Phase1 2020H1-2022H2	Phase2 2022H2-2023H1	Phase 3 2023H2-2025H1	Phase1 2020H1-2022H2	Phase2 2022H2-2023H1	Phase 3 2023H2-2025H1
Import to MY	55	43	67	11%	16%	20%
Import to PH	133	64	39	27%	24%	12%
Import to VN	119	56	65	24%	21%	20%
Import to TH	114	50	80	23%	19%	24%
Import to ID	73	57	77	15%	21%	23%
Total	494	270	328	100%	100%	100%

Seller # by export markets

	Phase1 2020H1-2022H2	Phase2 2022H2-2023H1	Phase 3 2023H2-2025H1	Phase1 2020H1-2022H2	Phase2 2022H2-2023H1	Phase 3 2023H2-2025H1
Export from MY	116	48	57	23%	18%	17%
Export from PH	109	74	87	22%	27%	27%
Export from VN	65	53	58	13%	20%	18%
Export from TH	115	58	63	23%	21%	19%
Export from ID	89	37	63	18%	14%	19%
Total	494	270	328	100%	100%	100%

Seller survey: % of sellers who have interest in site expansion

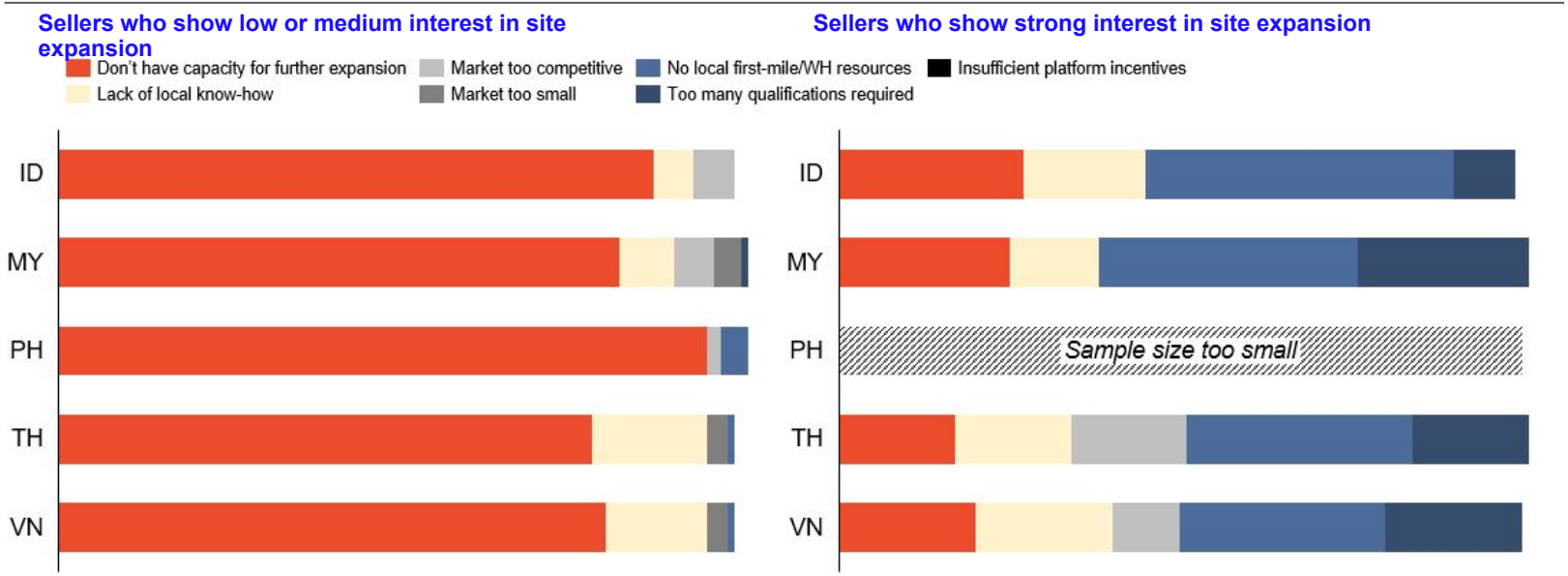


Highlight

- **By import market**
  1. **ID/MY P0,** as we see increasing number of sellers importing to MY/ID, sellers are attracted by **large market size and less competition**. Also proved by seller survey that % sellers who are interested in site expansion are highest for ID/MY
- 2 **By export market**, PH is trending up

[Site expansion-How] Sellers show medium interest concern capacity and local know-how, need CB/Direct as easy start; Sellers show strong interest concern local FM/WH and quals, which is resolvable and we should still pitch CNLS

Seller survey: site expansion blockers



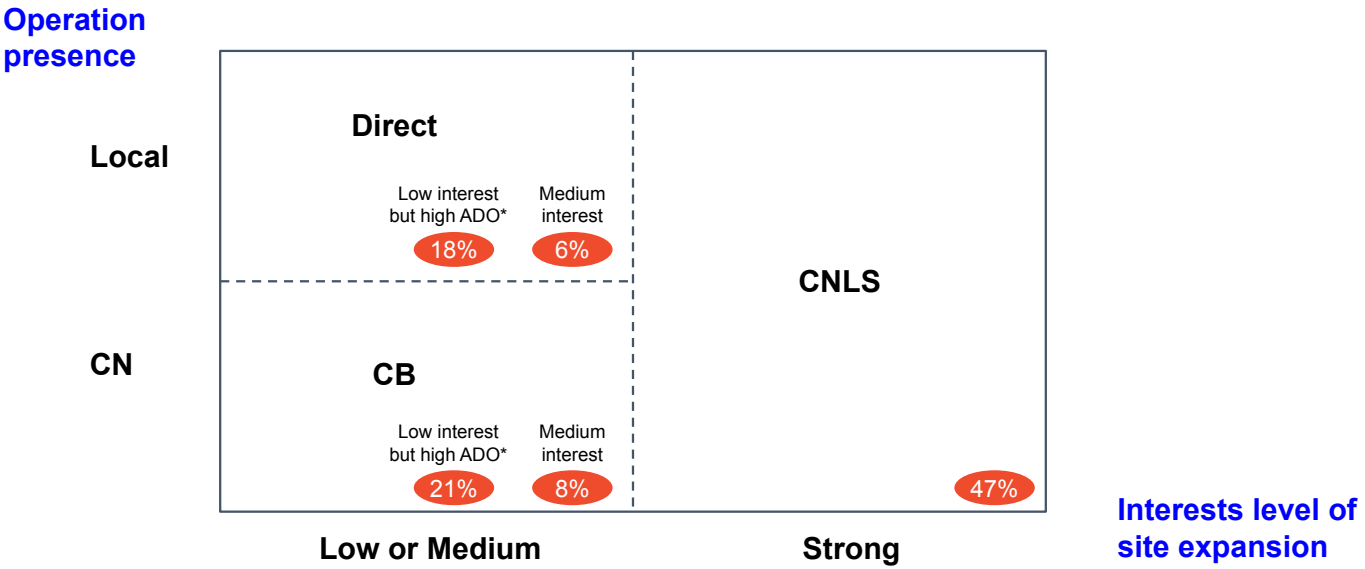
Highlight

- **Sellers show medium interests** have biggest blockers in **capacity constraints** and **local know-how, which is relatively unresolvable from SHP side.** So we should provide sellers with **an easy start** which requires less capacity, also provides test-the-water phase for sellers to know about market
- **Sellers show strong interests** in site expansion have biggest blockers in **local first mile/WH resources,** and **complex local qualifications, which is resolvable from SHP side**. So we should pitch them **straightly with CNLS model**

[Site expansion-How] We plan to segment sellers based on their site expansion interest level and pitch them with tailored site expansion model

Seller segmentation and site expansion model

xx% of ADO in target seller pool



Note*: high ADO is defined as top 2% of target sell pool

[Site expansion-levers] For CNLS model, our main goal is to accelerate both onboarding and seller growth after onboarding, For CB/Direct model, we need to increase adoption rate

Goal	Types	Blockers		Levers	PIC	Impact factors
For CNLS model, increase pitch success rate and accelerate onboarding process	Infra setting	Lack of local **vendor resources** (business license, tax & payment, first mile, custom clearance)	Only for type 1 sellers, provide a list of **tax and payment** supliers without proactive follow-up	1. For type 1 sellers, **Facillitate handshaking** with sellers and vendors (e.g., online / offline catch up) 2. For type 2 sellers, Provide **list of tax and payment suppliers** and **faciliate handshaking**	Local CNLS / CN SMT	Increase success rate
		Lack of **local warehouse** resources	N.A.	1. Accelerate **FBS adoption rate** (e.g., free trial extension, co-shared stock and budle sales, onboarding system optimization)1.	Local FBS	Increase success rate
	Seller onboarding	Complex **shop account opening** process	No clear guidelines of **material requirements** No **transparency of rejection reason** No aligned **SLA** of approval process	1. Construct **clear guidelines** of material requirements 2. Feedback **specific rejection reason** and **suggested amendment** 3. Assign **dedicated import market CNLS PIC** to provide **step-by-step assistance** 4. Agree on **SLA** of aproval process	Local Ops / Local CNLS	Shorten onboarding lead time
		Lengthy **Mall shop application** process		1. Feedback **specific rejection reason** and **suggested amendment** 2. Agree on **SLA** of aproval process 3. Develop **cross-market mutual mall recognition** agreements	RBP	Increase SKU efficiency
	SHP management	**Import RM coverage gap** (esp. type 2)	**No clear R&R spilt** between export market and import market	1. Establish **SoP** from export market RM pitch to import market onboarding and **set clear transition interface** 2. Co-own **seller # and ADO target**, **export RM** to primarily own **seller #** and **import RM** to primarily own **ADO**	Reg CNLS / CN CNLS / Local CNLS	Shorten onboarding lead time
		Insufficienct regional role coverage	**No clear CN regional role R&R and KPI** **RBP management criteria** mismatched for new type 3 CNLS sellers **Seller type transfer process** not well-governed	1. Benchmark RBP existing practice and **set R&R and KPI for CN regionla role** 2. Redefine **RBP management bar** for new type 3 CNLS sellers 3. Set up **type transfer process SoP** 4. Assign **regional role** for all type 1&3 sellers	Reg CNLS	Increase success rate
Goal	**Types**	**Blockers**		**Levers**	**PIC**	**Impact factors**
For CNLS model, accelerate sellers' growth after onboardin	Incubation (M0-M2)	**Unstructured incentives** along seller journey and across-markets		**1. Highlight CFS slots, item rebate** to accelerate SKU migration by ensuring new listings' sufficient exposure and price comp and **structure across markets**	Local CNLS	Increase SKU migration ceiling
	Growth (M3-M11)	**Unstructured incentives** along seller journey and across-markets		**1. Highlight Ads credit** to incentive investment and **structure across markets**	Local CNLS	Increase ADO by month growth rate
	Mature (M12-M23)	N.A.		**1. Existing SSP**	N.A.	N.A.
Goal	**Types**	**Blockers**		**Levers**	**PIC**	**Impact factors**
For CB/Direct push, increase pitch success rate	SHP operation	Direct lane **not yet launched**		**1. Align Direct lane launch plan** with sitex expansion lane prioritization	SIP	Foundation setting, hard to quantify
	Fee structure	**Fee too highligh** leads to thin margin, mainly for Direct		1. Highlight **free trial** and **fee waiver** to lower entry barrier to increase adoption rate and **structure across-markets**	SIP, CN SMT	Increase success rate

[Site expansion-Target setting and ownership] We suggest regional RM and export market RM to pitch, and import market CNLS to be mainly responsible for ADO target

Who to pitch

Type 1: CN CNLS, **Type 3:** RBP
Type 2:

Recommended

	Export market RM to pitch	Import market RM to pitch
Seller experience	- Sellers have single RM contact	- Sellers will have up to four market RMs to reach out
RM workload	- RM responsible for single export market	- RM responsible for all other four export markets
RM incentives	- Require KPI push for RM to enforce accountablility	- RM have natural incentives to push seller movement as it grow import market business

Target ownership

	Seller # Target	ADO Target
Type 1	- **CN CNLS** and **import market** to co-own target - **CN CNLS** to hold key responsibility	- **CN CNLS** and **import market** to co-own target - **Import market to** hold key responsibility
Type 2	- **Export market** and **import market** to co-own target - **Export market** to hold key responsibility	- **Export market** and **import market** to co-own target - **Import market** to hold key responsibility
Type 3	- **RBP** and **import market** to co-own target - **RBP** to hold key responsibility	- **RBP** and **import market** to co-own target - **Import market** to hold key responsibility

Highlight

- **Who to pitch**
  - **Type 1: CN CNLS** (regional RM)
  - **Type 2:** Suggest **Export RM** to pitch for better seller experience and less RM workload
  - **Type 3: RBP** to pitch (regional RM)
- **Target ownership,** to better **enhance collaboration** between import market and export market, we suggest
  - **Regional RM** (for type 1 & 3) and **export market RM** (for type 2) to hold key responsibility for **onboard seller #**
  - **Import market** to hold key responsibility for **ADO**

[Site expansion-Target setting and ownership] As preliminary opportunity assessment, we expect ~140k ADO by 2025 YE, and ~200k ADO by 2026 YE

Site expansion seller # - CNLS model

	2024.H1	2024.H2	2025.H1	2025H2	2026H1	2026H2
	Actual	*Actual*	*Actual*	*Projection*	*Projection*	*Projection*
Total	**103**	**88**	**124**	**125**	**134**	**140**
MY	15	9	17	35	36	36
ID	34	31	26	36	45	59
TH	27	26	20	28	29	27
VN	18	13	43	21	20	15
PH	9	9	18	6	3	3

Site expansion ADO - CNLS model

	2024.H1	2024.H2	2025.H1	2025H2	2026H1	2026H2	2026 vs 2025 YOY
	Actual	*Actual*	*Actual*	*Projection*	*Projection*	*Projection*	*Projection*
Total	**81,459**	**109,380**	**121,681**	**141,335**	**184,467**	**203,472**	**44%**
MY	3,436	5,619	9,925	14,393	23,347	32,837	128%
ID	43,623	60,276	52,685	73,761	100,690	104,296	41%
TH	8,187	17,948	26,012	22,777	26,393	30,569	34%
VN	14,163	14,903	22,881	22,415	23,510	25,816	15%
PH	12,051	10,633	10,177	7,989	10,527	9,954	25%

[Site expansion-Next steps] Two key actions items will be 1) aligning target, 2) assign and align owner and timeline for each lever

Action items	Priority
Align CNLS model target with CN CNLS & Local CNLS team	P0
Co-work with CN SMT with CB site expansion target	P1
Co-work wth SIP team with Direct site expansion target	P1
Assign owner and tiemline of each lever	P0

Key Topics

1. **LFF**
2. **CNLS**
   a. Performance Update
   b. Site expansion
   c. **FBS progress update**
3. **Counter TB**

[Local FBS] CNLS FBS RR lags behind mainly due to sellers low adoption, caused by low pitching success rate and low inbound %

Local FBS performance updates:

1. **CN CNLS FBS ADO Pene% MoM +0.08%,** due to significant uplift in pitched rate(~97% ADO%) and well-organized RM training session across markets, with PH MoM drop due to WH overstock and VN slightly dip due to Anker out of stock in FBS and target to replenish by mid Sep
2. **Local CNLS FBS ADO MoM drop in TH** due to package missing and late delivery lead to seller complaints. PH local CNLS MoM still positive at 33% due to previous inbound SKU start creating FBS ADO
3. Though high pitched rate, CN CNLS RR still behind the target due to **low seller FBS adoption rat**e caused by a) **low success pitched rate and b) low inbound rate out of success pitched sellers (deepdive in later pages)**

As of 8 Sep		FBS ADO			FBS ADO Pene%			FBS RR%
Market	Seller type	Sep 2025	Aug 2025	MoM%	Sep 2025	Aug 2025	MoM%	Aug RR
All	CN CNLS	1,677	1,111	51%	0.26%	0.18%	0.08%	20%
	Local CNLS	4,631	4,282	8%	0.63%	0.59%	0.03%	/
MY	CN CNLS	1,230	507	143%	1.10%	0.50%	0.60%	104%
	Local CNLS	209	48	336%	0.93%	0.23%	0.70%	34%
PH	CN CNLS	186	403	-54%	0.07%	0.15%	-0.08%	10%
	Local CNLS	2,585	1,946	33%	0.61%	0.46%	0.15%	Track differently
TH	CN CNLS	203	122	66%	0.11%	0.07%	0.04%	34%
	Local CNLS	1,583	2,035	-22%	0.64%	0.89%	-0.24%	Track differently
VN	CN CNLS	58	78	-25%	0.08%	0.10%	-0.03%	12%
	Local CNLS	254	253	0%	0.57%	0.57%	0.00%	65%

Note:
MTD as of 8 Sep, with Aug shop list

[CNLS FBS] Focus on RM push, scaling up VN incentive, and improving ops processes to resolve low pitching success rate and inbound rate

Table 1: CN CNLS pitching success rate and onboard rate (as of 8 Sep)

Metrics	Market	Total seller	Success Rate	Pitched success	Already Inbound	Not start onboarding	Under onboarding process	Onboarded, not start PNPO	Onboarded, PNPO pending approval	No feedback
GGP #	MY	196	1 21%	42	12	7	4 13	5	5	0
	PH	314	18%	57	8	12	18	7	11	1
	TH	213	9%	20	2	5	7	2	3	1
	VN	144	4%	6	1	4	1	0	0	0
	Total	**867**	**14%**	**125**	**23**	**28**	**39**	**14**	**19**	**2**
	% Out of pitched success sellers count			***100%***	2 ***18%***	3 ***22%***	***31%***	3 ***11%***	***15%***	***2%***
GGP ADO	MY	115,677	1 73%	84,910	17,276	24,903	15,891	7,220	19,620	0
	PH	344,466	48%	166,705	29,687	45,805	31,224	12,229	45,921	1,840
	TH	191,337	15%	29,004	718	8,144	14,580	977	3,141	1,445
	VN	77,968	7%	5,210	228	4,978	4	0	0	0
	Total	**729,447**	**39%**	**285,827**	**47,908**	**83,829**	**61,698**	**20,426**	**68,682**	**3,285**
	% Out of pitched success sellers ADO			***100%***	***17%***	***29%***	***22%***	***7%***	***24%***	***1%***

1 **Pitching success rate still low at 14% (GGP #%) and 39% (GGP ADO%) across all markets**

- Pitching success rate is only at 14% in #GGP across markets >> Added FBS ADO% into CN RM KPI and RMs are repitching those pending sellers
- Remove ops blockers to attract more sellers >> bundle sale has already been solved in PH/TH and MY ETA Q4, co-shared stock issues under discussion
- Scale up Incentives to increase seller pitch success rate. VN provides the minimum free trial duration with only 3 months and TH has just revamped incentives in mid-Aug, still ramping up >> VN local FBS is now soft checking feasibility to extend to 6 months free trial

2 **Inbound rate out of pitched success sellers are still low at only 18% (GGP #%)**

3 22% sellers not yet start onboarding and 11% already onboarded but not yet started PNPO >> Added FBS ADO% into CN RM KPI and RMs are pushing to accelerate

4 31% sellers still under onboarding process due to registered initially thru vendor while lack of onboarding materials now and current offline procedures take too long >>> push local to enable auto-fetch function, with PH enabled / MY whitelist and TH ETA Mid Sep / VN ETA Q4, and optimize the whole process to accelerate

Note:
[1] Once a shop under the GGP agree to inbound FBS, the GGP will then be marked as whole GGP inbound FBS, even though it's only one of the sku in the shop of the GGP inbound FBS
[2] Based on RM feedback on sellers onboarding process

[CNLS FBS Incentives] Align free trial across markets to increase the pitching success rate. VN is soft checking feasibility on extension to 6 months free trial

Table 1: Local FBS incentives comparison

Incentives	Handling fee free trial	Other PRM incentives	Current Progress on free trial extension
PH	6-12 months free trial 1) 6 months for Luzon, onboard before 30 Sep 2) 12 months for VisMin (need to onboarded before 30 Sep, otherwise 6 months)	• FSS discount • Free shipping for all FBS order • Packaging fee discount at 25% off	• PH local will review on whether to extension on monthly basis, **with feedback from local that there's high probability to extend** due to current local FBS is still in the scaling up stage
TH	6 months free trial, onboard before 30 Sep	• FSV for all FBS order • Provide 1% / 2% paid program discount on FBS orders	• TH local will review Sep pitching and onboarding progress to decide whether to extend
MY	6 months free trial, onboard before 31 Dec	• Commision fee and cashback program discount • Platform support fee waiver • FSV for all FBS order	/
VN	3 months free trial, onboard before 31 Dec	• Return shipping fee waived for all FBS order • Platform support fee waiver • Voucher rebate with value equivalent to 5% of shop's FBS L30D GMV cap at $300-500 monthly	• **VN local is soft checking feasibility to scale up free trial from 3 months to 6 months** by trading off seller voucher or platform supporting fee waiver • Hopefully to further drive up pitching success rate, with **current VN success rate lowest across markets**

[CNLS FBS Ops Blockers] Remove short term blockers to increase seller pitching success rate and inbound efficiency

Table 1: Short term addressable blockers and solutions

Short term addressable	Solution/Action Plan	Aligned PIC	MY	PH	TH	VN
Inbound constraints	**Unclearness of inbound request rules of existing items:** Align with local on IR rules, CNLS follow local schemes	Local FBS / Local FBS Ops	Model level ADO > 0.3 Soft recommended DOC at 30D	Model level ADO > 0.3 Hard limit DOC at 30D	Model level ADO > 0.3 Soft recommended DOC at 45D	DOC 25 days based on historical L14D ADIS
	Unclearness of inbound request rules of new shops new items: Align with local on IR rules, CNLS follow local schemes	Local FBS / Local FBS Ops	First time inbound 60 qty per model	Provide shop and info to WH OPS team for special approve		
	1 **PH WH in Luzon no space to inbound:** Local FBS to clear out existing blackstock, encourage sellers to inbound VisMin WH first and open new facility	Reg WH / Local FBS / Local FBS Ops	/	Open new WH by 28 Sep	/	/
Limited VAS selection	2 **Bundle sales:** Enable bundle sales with **existing link** as VAS to onboard more FMCG sellers	Local FBS	ETA Q4'25 (now can only use new link)	Done	Done	Cannot do bundle sale with Plus pkg
Co-shared stock	**Co-shared stock:** Enable co-shared stock function for FBS to onboard more lifestyle and UST sellers	Local FBS	ETA pending country head decision			
Bulky Constraints	**CNLS sellers overall follow local policies, can do large but no bulky**	Local FBS / Local FBS Ops	Can do large and bulky, but no free trial	Exclude bulky in target. Can do large items but cannot do free trial		
Blackstock control	**Tracker for long term monitoring:** Reg CNLS and Reg WH need to monitor blackstock age/qty%/CBM% though current CNLS sellers are still under onboarding stage	Reg WH / Reg CNLS	Done			
IB/OB efficiency	**Tracker for long term monitoring:** Reg WH need to monitor WH inbound / outbound efficiency especially before d'day	Reg WH / Local FBS Ops	Done			

1 **[In progress]** PH WH in Luzon has no space to inbound and has strict limitation and pause PO, will open new WH in 28 Sep and target mass receiving since Oct

2 **[In progress]** Add bundle sales and co-shared stock function to attract more sellers and increase pitching success rate. For bundle sale, PH/TH have already enabled, MY is still in pipeline, while VN is pending local discussion; Co-shared stock function is pending country head decision

Note:
Collect from RM feedback and local FBS PIC

[CNLS FBS System] Optimize system to accelerate onboarding and inbounding by adding auto fetch feature and online the process

Table 1: Whether each step of CNLS FBS onboarding / inbounding process can be done online

Site	Onboarding Process						Inbounding Process		
	1. Apply for activating FBS	2. Corporate/ID information	3. Sign off contract	4. Local PIC approve	5. FBS Account Register	Onboarding SLA	6. PN	7. PO	Inbounding SLA
PH	online	can do auto fetch [1]	online	online [2]	online	1-4 days	online submit + offline excel for WH team review	online	PN within 1-2 days PO daily review
TH	online	no auto fetch, no whitelist Auto fetch ETA mid Sep	online	download and do offline approval	online	1 day	online	online	PN within 1-2 days PO daily review
MY	offline	no auto fetch, can do whitelist for now Auto fetch Q4 25	offline e-contract	offline	online	Reducing onboarding time from 1-2 weeks to 3 days	online	online	PN within 1-2 days PO daily review
VN	RM online apply on behalf of sellers	no auto fetch, no whitelist Auto fetch Q4 25	offline e-contract	online approval, offline tracking	RM confirmation email for registration	1-2 working days	RM offline communicate with sellers and then submit online on behalf of sellers		PN within 1-2 days PO auto approve
CB	Sellers can apply FBS feature from CNSC directly with auto fetch and online contracting					System auto approve otherwise 1 week	Sellers apply for PNPO through CNSC		PN within 1-2 days PO auto approve

1 **[In Progress] Auto fetch:** As some CNLS sellers open local shops through vendors, it takes time for sellers to get the documents for registration again. **Local FBS auto-fetch function has already in pipeline to remove the blocker**

2 **[In Progress] Online the process follow CB Ops:** To online the whole process from onboard to inbound to accelerate and build tracker to monitor SLA of each process. **Working with Reg WH to push FBS online systems and build up SLA visibility**

Note:
Collect from local FBS PIC

Key Topics

1. LFF
2. CNLS
3. Counter TB
   a. Performance Update
   b. What Worked
   c. What Did Not Work

[TBG CB - SHP CB multiple] Overall SHP SEA+TW CB ADG multiple maintained vs Jun'25; ADO multiple dropped slightly -0.12x vs Jun'25 to 4.66X primarily impacted by VN policy changes

TBG and Shopee CB key metrics comparison [May'25 – Jul'25]

TBG CB performance excluding small B buyers

Data from CI – To be cross checked with multiple sources and local intel

SHP CB vs. TBG CB (multiple)		SG	MY	TH	VN	PH	TW	SEA+TW
ADO[1)] (multiple)	Jul'25	4.56x	3.27x	6.12x	5.63x	26.21x	0.27x	4.66x
	Jun '25	4.21x	3.19x	6.17x	6.35x	25.91x	0.27x	4.78x
	May '25	4.52x	3.32x	6.50x	6.14x	24.39x	0.28x	4.79x
	Jul vs Jun delta	0.35x	0.08x	-0.05x	1 -0.72x	0.31x	0.00x	-0.12x
ADG (multiple)	Jul'25	1.49x	0.87x	1.84x	1.14x	5.64x	0.25x	1.17x
	Jun '25	1.39x	0.83x	1.78x	1.23x	5.74x	0.26x	1.17x
	May '25	1.43x	0.9x	1.77x	1.3x	5.69x	0.24x	1.19x
	Jul vs Jun delta	0.10x	0.04x	0.06x	-0.09x	-0.1x	-0.01x	0.00x
ABS (multiple)	Jul'25	0.33x	0.27x	0.3x	0.20x	0.22x	0.91x	0.25x
	Jun '25	0.33x	0.26x	0.29x	0.19x	0.22x	0.95x	0.25x
	May '25	0.32x	0.27x	0.27x	0.21x	0.23x	0.83x	0.25x
	Jul vs Jun delta	0.00x	0.01x	0.01x	0.01x	-0.01x	-0.04x	0.01x

Note: 1) ADG and ABS data from expert input, adjusted based on internal input (SG&MY) and aligned with local intel (TW), ADO derived accordingly

Key Highlights

1. In July, **SHP vs TBG ADO multiple decline in SEA +TW by 0.12x to 4.66X, mainly driven by a MoM drop in SHP's ADO in VN & TH, which outpaced TBG's MoM drop** (VN: -14% vs -3%; TH: -5% vs -4%)
   - **In VN**, SHP was impacted by Jul.1 implementation of both platform infrastructure fee and income tax (PIT), which resulted in some sellers raising prices in response, impacting topline ADO performance. TBG on the other hand stopped official logistic channel and only left grey channel in VN. They are less impacted by the roll out of VN KYC checks.

[Recap] Counter TB Key Focus Areas - [A] Ensure sufficient resources to drive SKU growth, while pushing for [B] assortment completeness and [C] price competitiveness

	Objectives	Levers	Key Updates
A	**Drive Program Seller Growth**	• Leverage attractive acquisition package to attract new seller to platform • Leverage attractive package to ensure sellers engage in sourcing & price negotiation • Promote TB assortment on SHP once pricing and assortment push are mature	• From Apr'25 to Aug'25, ADO% to relevant CB L1 have improved from **1.2%** to **7.0%** across SEA + TW Deep Dive • Overall program Aug'25 RR is above target at **102%** • [In pipeline] We are working on validating whether we are **acquiring the right sellers for our markets** by reviewing what TB has been promoting on Instagram and XHS
B	**Grow SKU Assortment Completeness vs TBG**	• Leverage new seller acquisition, existing traders and ERP sellers to acquire top TB assortments	• From Apr'25 to Jul'25, % SHP SKUs matched to top TBG SKUs has improved from **38%** to **55%** across SEA + TW
C	**Ensure Price Competitiveness vs TBG**	• Weekly matching to ensure price competitiveness vs top TBG SKUs across focus cats	• As of 30 Aug, net price comp for 35K SHP SKUs matched to top 28k TBG SKUs is at **-14%** at total buyer paid price. Next Step: We will start engaging with sellers to negotiate price adjustments for 3K SHP uncompetitive SKUs down to target price from 5 Sep - 30 Sep Deep Dive

A [Counter TB Prog Aug'25 Perf] Overall TB prog is on track, growing 66.5k ADO since Jan driven by New TB seller acquisition and SKU sourcing from trader sellers; ERP acquisition faced resistance from 聚水潭

Table: TB Program Aug'25 Performance

Metric	Levers	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25		Dec'25
		Actuals	*Actuals*	*Actuals*	*Actuals*	*Actuals*	*Actuals*	*Actuals*	*Actuals*	*RR*	*Target*
Program ADO	1. New Seller Acquisition	17	32	79	264	808	1,330	3,171	4,524	111%	26,872
	2. SKU Sourcing By Selected Traders	26,816	23,713	29,157	29,154	37,696	55,108	79,837	86,147	101%	124,566
	3. SKU Sourcing By ERP	0	0	0	0	0	25	130	1a 2,695	183%	44,366
	Total	**26,833**	**23,745**	**29,236**	**29,418**	**38,504**	**56,463**	**83,138**	**93,366**	**102%**	**195,804**
Program ADO% to CB L1	**Total**	1.7%	1.7%	2.0%	2.2%	2.5%	3.2%	4.2%	5.4%	101%	7.6%
Program ADG	**Total**	289,701	278,564	312,365	318,162	539,082	792,731	855,474	960,246	98%	2,096,510
Program SKU# (in K)	1. New Seller Acquisition	0	1	1	11	19	32	60	85	125%	147
	2. SKU Sourcing By Selected Traders	477	440	497	498	844	942	1,096	1,164	102%	1,636
	3. SKU Sourcing By ERP	0	0	0	0	0	11	32	65	1a 70%	18,822
	Total	**477**	**441**	**498**	**509**	**863**	**985**	**1,188**	**1,314**	**101%**	**20,607**
Program PC2%	**Total**	2.6%	2.4%	1.2%	2.2%	2.6%	0.7%	1.2%	2.4%	-	-

*Program performance includes 4 key categories push - Fashion/Furniture/F&B/Beauty

Key Highlights:

1. **MTD ADO at 93K RR 102% driven by all Levers achieving RR. MTD Program SKU# at 1.3M, RR 101%**
   a. Lever 3 SKU target behind RR at 70%, MTD 65K. Low RR due to 聚水潭 mass pitching cancellations and 旺店通 sellers require more time to onboard & list, ADO scaled to 2.7k ADO, and met target via catch up plan, expect to scale more in Sep

[Back Up] In Aug, Lever 3 (SKU Sourcing by ERP) hit full month targets, RR 195%; We expected to continue the momentum in Sep by improving SKU efficiency through growing top sellers

Metrics		Jul	Aug	Sep		Oct	Nov	Dec
		Actual	*Actual*	*MTD*	*EOM Proj.*	*Target*	*Target*	*Target*
ADO	MTD	130	2,876	7,457	9,654	19,530	35,858	44,368
	MoM	-	▲2112%	▲159%	▲236%	▲102%	▲84%	▲24%
	RR	165%	195%	210%	272%	-	-	-
Seller #	MTD	10	32	152	452	1,493	2,222	2,703
	MoM	-	▲220%	▲375%	▲1313%	▲230%	▲49%	▲22%
	RR	250%	12%	63%	186%	-	-	-
SKU #	MTD	31,698	68,272	163,817	643,817	9,184,773	14,911,935	18,822,354
	MoM	-	▲115%	▲140%	▲843%	▲1327%	▲62%	▲26%
	RR	87%	74%	13%	52%	-	-	-
SKU Effi	MTD	0.4%	4.2%	4.6%	1.5%	0.2%	0.2%	0.2%
	MoM	-	▲927%	▲8%	▼64%	▼86%	▲13%	▼2%
	RR	190%	265%	1593%	525%	-	-	-

Key Highlights:

1. In Aug, we hit **full month targets (195% RR)** through working with a few top sellers to grow their order though onboarding has been slow and SKU # at 12% RR
2. In Sep, we are still **on track to hit targets by EOM**
   a. We expect to get 480k more SKUs this month, even though this will still put us at 52% RR by EOM
   b. However, we will choose top potential sellers to grow as success cases to hit targets

[Backup - Counter TB Prog Aug'25 Perf] Full Month Aug'25 Performance is on track driven by Beauty overperformance contributed by VN overachievement

Table: TB Program Aug'25 Performance by Category

Metric	Levers	Fashion				Furniture				F&B				Beauty			
		Aug'25			Dec'25	Aug'25			Dec'25	Aug'25			Dec'25	Aug'25			Dec'25
		Actuals	*RR*	*MoM*	*Target*	*Actuals*	*RR*	*MoM*	*Target*	*Actuals*	*RR*	*MoM*	*Target*	*Actuals*	*RR*	*MoM*	*Target*
Program ADO	1. New Seller Acquisition	3,101	116%	57%	6,748	188	200%	158%	404	13	325%	-	79	1,223	92%	55%	19,641
	2. SKU Sourcing By Selected Traders	44,286	94%	13%	69,660	7,088	102%	3%	3,490	1,679	93%	66%	6,694	33,094	129%	7%	38,539
	3. SKU Sourcing By ERP	2,482	276%	1918%	27,058	0.1	1%	-	330	212	66%	2929%	10,199	0.6	0%	-	6,779
	Total	50,006	97%	21%	103,466	7,276	103%	5%	9,304	1,904	90%	87%	16,792	34,318	126%	78%	64,959
Program ADO% to CB L1	**Total**	5.0%	96%	0.7pp	6.5%	1.3%	92%	0.6pp	2.1%	6.9%	101%	1.2pp	22.8%	8.3%	109%	3.6pp	12.0%
Program ADG	**Total**	475,931	89%	13%	1,157,320	217,817	98%	-28%	314,513	12,533	71%	57%	164,750	251,924	125%	10%	459,927
Program SKU# (in K)	1. New Seller Acquisition	46	78%	39%	111	21	748%	950%	10	9.4	4652%	-	3	8.0	146%	65%	23
	2. SKU Sourcing By Selected Traders	777	103%	15%	1,079	304	106%	13%	375	37.6	75%	11%	134	45.3	107%	84	46
	3. SKU Sourcing By ERP	64	204%	106%	7,352	0	3%	-	107	1.3	3%	86%	9173	0.1	1%	-	2190
	Total	888	105%	20%	8,543	325	112%	23%	492	48	50%	41%	9310	53.4	84%	663%	2260
Program PC2%	**Total**	-0.1%	-	1.6pp	-	6.7%	-	2.8pp	-	-1.1%	-	-7.6pp	-	2.3%	-	-0.3pp	-

Key Highlights:

1. **Aug ADO at 93K RR 102% driven by Lever 1 & 2 achieving RR. MTD Program SKU# at 1.31M, RR 101%**
   a. Overachievement driven by Beauty (34K ADO, RR 126%), mainly in VN due to top sellers Judydoll & Carslan with strong 8.8 performance supported by platform investment.
   b. Strong lever 1 performance led by Fashion (3.1K ADO, RR 116%), with top performing Mosequeen seller contributing 1.6K ADO.
   c. Lever 3 overachievement also fueled by Fashion (2.5K ADO, RR 276%), largely supported by top BKF seller (安阳市殷都) contributing 1.4K ADO.

[Counter TB Price Comp Update] Net price comp dropped by 2pp to -14% at total buyer paid price for the top 35K SKUs that we are prioritizing; We are pushing sellers to hit 40% target by Dec

Table: Aug'25 Net Price Comp for 35K SHP SKUs matched to TB

Regions	Scope		30 August 2025							WoW				% to Target
			#SKU		% ADO Cov	% Net Competitiveness				% Net Competitiveness				% NPC
			On TB	On Shopee	On Shopee (% to CB L1)	After SHP & TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	Total Buyer Price [E + Tax]	After SHP & TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	Total Buyer Price [E + Tax]	Total Buyer Price [E + Tax]
SEA + TW	Overall	Total	28,320	34,938	2.10%	**-54%**	**-49%**	**-22%**	**-14%**	▼2.5pp	▼2.8pp	▼2.2pp	▼2.0pp	62%
		...Expensive				26,545	25,707	20,878	19,472	1.8%	2.0%	1.8%	1.9%	
		...Cheaper				7,795	8,529	13,212	14,688	-5.0%	-5.2%	-2.8%	-2.4%	
		...Equal				598	702	848	778	-7.9%	-4.1%	1.0%	0.9%	
	By Category	...Fashion	5,186	5,665	0.40%	-39%	-33%	-6%	6%	▼3.4pp	▼3.7pp	▼4.1pp	▼4.1pp	76%
		...Furniture	5,658	8,875	0.30%	-90%	-89%	-81%	-77%	▼0.6pp	▼0.5pp	▼0.3pp	▼0.4pp	16%
		...F&B	4,129	5,105	2.10%	-84%	-82%	-59%	-52%	▼0.9pp	▼0.8pp	▼1.4pp	▼1.8pp	34%
		...Beauty	13,347	15,293	8.30%	-28%	-21%	19%	29%	▼3.7pp	▼4.5pp	▼2.8pp	▼2.3pp	92%

Key Highlights:

1. Shopee NPC is currently **underperforming at -14%** vs. target of 40% mainly due to SG's performance at -62% due to higher logistics hidden fees charged to sellers.

[Counter TB Program Review] Assortment push & Seed Shop curation has shown success in Q3'25, However, price competitiveness has yet to show meaningful improvement and will require additional support

Program Review	Key Initiatives	Highlights
What Worked	• **Grow Assortment push** by accelerating seller acquisition and enhancing SKU sourcing from existing sellers. • **Seed Shop Curation** by accelerating high-potential sellers through enhanced incentives, positioning them as success cases to drive acquisition conversion	• From Jun-Aug'25 , newly acquired seller grew 2.6x to 241 and existing seller newly sourced SKU# grew 1.4x to 652K (with 75K from wishlist) mainly driven by Fashion/Beauty overperformance. • As of Aug'25, Seed shops contribute 39.5% of Counter TB Program ADO, growing faster than the program driven by SKU Upload, AMS investment while platform supported on traffic/PRM push.
What did not Work	• **Price Comp Improvement** did not yield significant improvement for the month of Aug, this is attributed to a high number of seller rejecting to lower price	• Out of 19.5K expensive SKU, 29% is due to structural pricing issue (logistics & commission) which can be addressed through rates adjustment , while 71% is due to higher seller margin on our platform which can be partially addressed.

Key Topics

1. LFF
2. CNLS
3. Counter TB
    a. Performance Update
    b. What Worked
    c. What did not work

[What Worked - Growing Assortment] From Jun-Aug, newly acquired seller grew 2.6x to 241 and existing seller newly sourced SKU# grew 1.4x to 652K (of which 75K from wishlist) mainly driven by Fashion/Beauty

Table: Jun'25 - Dec'25 Assortment Growth Plan

Achieved RR | Behind RR

Seller Type	Metric	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25
		Actuals	*Actuals*	*Actuals*	*Target*	*Target*	*Target*	*Target*
New Sellers Onboarded to SHP	**#Sellers**	**94**	**124**	**241**	**309**	**391**	**467**	**530**
	1a ..Fashion	78	79	126	154	190	223	250
	...Furniture	16	23	42	52	63	71	80
	...F&B	0	2	24	26	28	30	32
	1a ..Beauty	0	20	49	77	110	143	168
	#New SKUs	**35,958**	**71,982**	**85,350**	**112,950**	**131,330**	**151,600**	**172,750**
	...Fashion	28,604	38,445	46,464	70,950	83,330	96,600	110,750
	...Furniture	7,354	20,470	21,462	23,000	24,000	25,000	26,000
	...F&B	0	8,220	9,444	10,000	11,000	12,000	13,000
	...Beauty	0	4,847	7,980	9,000	13,000	18,000	23,000
Existing TB Program Sellers	**#New SKUs**	**462,836**	**588,741**	**652,607**	**775,382**	**965,859**	**1,058,961**	**1,152,028**
	2a ..Fashion	258,120	357,353	390,531	469,412	570,774	631,591	692,407
	...Furniture	204,716	211,685	237,254	242,427	269,062	285,043	301,023
	...F&B	0	14,527	16,825	55,710	81,853	97,539	113,225
	2a ..Beauty	0	5,176	7,997	7,833	44,170	44,788	45,373

Key Highlights:

1. **Newly Acquired Seller:** From Jun-Aug'25 our program seller grew 2.6x to 241 and contributed 85K new SKU (2.4x growth vs Jun'25).
   a. Fashion and Beauty categories have shown the fastest growth in seller acquisition, driven by our strategic reallocation of headcount and increased incentives—outpacing categories like Furniture and F&B.
2. **Existing TB Program Seller Growth:** From Jun-Aug'25 existing seller SKU grew 1.4x to 652K
3. **Next Step:** We will continue to double down on SKU acquisition effort, ensure sellers are utilising incentives on program SKU and participating in campaigns to stay on track for our Dec'25 targets

[What Worked - Growing Seed Shops] Seed shops contribute 39.5% of Counter TB Program ADO, growing faster than the program driven by SKU Upload, AMS coverage while platform supported on traffic/PRM push

Table: Jul'25-Aug'25 Seed Shop Performance

Metrics		Jul'25	Aug'25	MoM
Topline	ADO	16,762	18,607	38.2%
	ADO% of TB Program	38.2%	39.5%	1 1.3pp
	ADG (USD)	119,938	126,594	28.8%
	ADG% of TB Program	28.8%	28.8%	0.0pp
	Seed shops (#)	118	118	3.0%
	SKU #	31,466	34,291	5.5%
Content Coverage	AMS ADO Penetration	32%	35%	3pp
	LS ADO Penetration	40%	44%	4pp
	Video ADO Penetration	13%	12%	-1pp

Note: Total TB Program excludes (i) PH and Furniture for all markets as seed shop incentives are not available (Aug 18K ADO) , (ii) shops newly included in program in Aug (6K ADO)

Key Highlights

1. Seed shops ADO grew 1.3pp to contribute 39.5% of the TB Program ADO in Aug'25 driven by:
   a. Seller's commitment to upload new SKUs (SKUs +0.3 pp to 5.8% in Aug) & turn on AMS (AMS ADO coverage +3.6pp to 47%)
   b. By country, growth was mainly contributed by SG/MY/VN where seed shop incentives were launched in Aug'25. TH/TW are expected to roll out similar incentives program starting from Sept' 25
2. **Next Step:**
   a. Leverage the success of seed shops as case studies to support acquisition conversion
   b. Continue the seed incentives program to onboard more high potential, fast growing sellers
   c. Review the incentive program's effectiveness and determine whether adjustments are required

[Backup: What Worked - Growing Seed Shops] Seed shops have the best performance in VN, followed by TH and MY

Table: Seed Shop Performance by Markets

Seed Shops		SG		MY		TH		VN		TW	
Metrics		Jul'25	Aug'25	Jul'25	Aug'25	Jul'25	Aug'25	Jul'25	Aug'25	Jul'25	Aug'25
Topline (#)	ADO	343	512	832	1,126	1,927	2,251	13,598	14,648	62	71
	ADG (USD)	6,142	8,377	6,753	8,703	9,591	10,671	94,423	95,175	3,029	3,668
	Seed shops (#)	32	32	30	30	14	14	34	34	8	8
	SKU #	11,003	11,776	8,952	9,372	3,173	4,256	6,281	6,223	2,057	2,664
Topline (% of Total TB Program)	ADO	29.1%	31.0%	11.6%	12.9%	15.1%	15.5%	61.5%	67.7%	9.8%	11.8%
	ADG (USD)	29.4%	32.6%	6.6%	7.1%	7.0%	7.0%	57.0%	61.0%	19.4%	24.2%
	Seed shops (#)	4.8%	4.8%	2.2%	2.2%	1.5%	1.5%	4.1%	4.1%	6.0%	6.0%
	SKU #	10.1%	9.9%	8.4%	8.2%	2.0%	2.5%	4.3%	4.6%	3.9%	5.4%
Traffic (#)	Free Ads Credit Spent	61	635	183	461	47	36	364	390	43	15
	AMS ADO Penetration	15%	15%	38%	39%	38%	42%	32%	35%	8%	12%
	LS ADO Penetration	4%	2%	19%	19%	25%	23%	45%	51%	5%	11%
	Video ADO Penetration	5%	5%	14%	16%	18%	19%	12%	11%	3%	3%

[What Worked - Growing Seed Shops] Across countries, top-performing seed sellers with ADO >100 will be used to support acquisition conversion and guide other sellers in replicating their strategies

Top Selling SKUs	Shop Name	Seller Type	ADO	Category	Key Success Factor	Next Steps
	Black Strawberry	Existing Seller on SHP	138	MY Fashion	**1. Traffic Investment:** Ads take rate increase from 3% to 6% MoM and AMS take rate at 4% **2. Sustain competitive pricing:** lowered prices of top SKUs ABS reduced from 6.0 to 5.3 **3. Platform Support through Seed Shop Incentive:** CFS ADO% improved from 14% to 22%, campaign ADO% (10% to 20%)	1. Push seller to create more new style SKUs and inbound to FBS to lower cost 2. Push seller to increase investment into ADS and AMS 3. Fully leverage CFS and campaign nominations as part of Seed Shop Incentive Program
	Foxer	Newly Acquired Seller in 2025	130	MY Fashion	**1. Sustain competitive pricing:** reduced prices on SHP to be the most competitive across all platform (ABS $8) **2. Platform Support through Seed Shop Incentive** **3. FBS onboarding:** to improve price competitiveness	1. Market Expansion to SG through FBS onboarding 2. Increase marketing investment, including ads, package, CPAS, and AMS
	MOSESQUEEN	Newly Acquired Seller in 2025	1,611	TH Fashion	1. **Quick SKU upload:** upload 3K+ MP SKU within 5 months (vs avg seller. 150-200 new SKU per month) **2. Sustain competitive pricing**: low ABS ($5.8 vs CNCB Women Clothes avg. $7), enabled by 1) self owned supply chain, 2) 70% of SKU fulfilled through TH 3PF which reduce cost	1. CN SSP: Join Q3 Reg SSP program to get more resources 2. Market Expansion to VN: through 3PF onboarding to improve price competitiveness
	UODO cosmetic	Newly Acquired Seller in 2025	126	VN Beauty	**1. Content Investment :** Collaborated with KOL to produce high-quality video/live streaming content to increase product and brand exposure **2. Traffic Investment** : MTD daily ads expense at 150 USD	1. Continue investment in traffic channels 3. Fully leverage CFS and campaign nominations as part of Seed Shop Incentive Program 3. Continue to launch new products

[Backup] Seed Shop Incentive - MY, SG, VN seed shop incentives have been rolled out since Aug'25, TH/TW expected to start from Sep'25 to accelerate the growth of focus sellers.

Table: Counter TB Seed Shop Incentive Plan

Program	Commitment	Component	SG	MY	TH	VN	TW
Focus Seller Program	Shopee Provides	Commission Waiver	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement	Similar to Lever 1 & 2 Incentive Program Requirement
		PRM	Monthly $800 paid ads credits Upsize item rebate Sponsored Shop Vouchers (Weekly Top Up) AMS Commission Rebate	Monthly $800 paid ads credits Upsize item rebate Sponsored Shop Vouchers (Weekly Top Up) AMS Commission Rebate	Monthly $200 paid ads credits	Monthly 5% Ads Credit Rebate Cap $200 Sponsored Shop Vouchers (Weekly Top Up)	Three-month base commission waiver CB & Fashion Category Circle Exposure
		Exposure	10 FD Slots Per Day Per Shop Microsite Exposure	10 FD Slots Per Day Per Shop Microsite Exposure	FD Slots on Spikes/Mini Spikes CB Campaign Collection Inclusion	10 FD Slots Per Month Per Shop CB Campaign Collection Inclusion	5 CFS Slot per month
		Content (Optional)	Platform Video Voucher Feature 1 OA livestream session/month	Platform Video Voucher	Platform Livestream Voucher Creator Vouchers	Feature OA livestream session KOL Livestream for Beauty	$10 live ads credit per session (capped at $50 free credit per month)
	Seller Provides	# of New SKU	100% TB SKU On SHP	100% TB SKU On SHP	/	Nominate CFS Deals with >15%-20% BAU Price Discount	New to Shopee: Achieve migration of ≥ 50% of their TB SKUs within 6 months.
		Price	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%	Monthly Improvement of Shop NPC to 40%
		Investment	Set Up GMV Max Shop Wide	Set Up GMV Max Shop Wide	Min. incremental 100 paid-dds spend per month Min. incremental 100 AMS Comms per month	Min 200 paid ads spend AMS Commission greater than 8%	Spend in direct investment (Paid Ads, CPAS, or GAS) each month
		Others	Participate in all Campaigns Sponsor Min 5 Deals For OA Live	Participate in all Campaigns 10 FD Deal to Have Video	Shop ADO > 100	Provide 5-10% lower than BAU Price for Live Stream Item	Conduct Livestream session(s)

Key Highlights

Seed Shop Incentive Program:

1. **SG/MY/TH/VN/TW:** Incentives were aggressively upsized to accelerate the growth of focus sellers in the Counter TB program. The incentive is available to both new and existing sellers. In return, the program requires a deeper commitment from sellers, including SKU-level commitments and willingness to work with the platform to improve NPC MoM

Key Topics

1. LFF
2. CNLS
3. Counter TB
    a. Performance Update
    b. What Worked
    c. What did not work

[Recap - Counter TB Price Comp Update] Net price comp dropped by 2pp to -14% at total buyer paid price for the top 35K SKUs that we are prioritizing; We are pushing sellers to hit 40% target by Dec

Table: Aug'25 Net Price Comp for 35K SHP SKUs matched to TB

Regions	Scope		30 August 2025							WoW				% to Target
			#SKU		% ADO Cov	% Net Competitiveness				% Net Competitiveness				% NPC
			On TB	On Shopee	On Shopee (% to CB L1)	After SHP & TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	Total Buyer Price [E + Tax]	After SHP & TB rebate [C]	After rebate and Voucher [D]	After rebate, voucher and BPSF [E]	Total Buyer Price [E + Tax]	Total Buyer Price [E + Tax]
SEA + TW	Overall	Total	28,320	34,938	2.10%	**-54%**	**-49%**	**-22%**	**-14%**	▼2.5pp	▼2.8pp	▼2.2pp	▼2.0pp	62%
		...Expensive				26,545	25,707	20,878	19,472	1.8%	2.0%	1.8%	1.9%	
		...Cheaper				7,795	8,529	13,212	14,688	-5.0%	-5.2%	-2.8%	-2.4%	
		...Equal				598	702	848	778	-7.9%	-4.1%	1.0%	0.9%	
	By Category	...Fashion	5,186	5,665	0.40%	-39%	-33%	-6%	6%	▼3.4pp	▼3.7pp	▼4.1pp	▼4.1pp	76%
		...Furniture	5,658	8,875	0.30%	-90%	-89%	-81%	-77%	▼0.6pp	▼0.5pp	▼0.3pp	▼0.4pp	16%
		...F&B	4,129	5,105	2.10%	-84%	-82%	-59%	-52%	▼0.9pp	▼0.8pp	▼1.4pp	▼1.8pp	34%
		...Beauty	13,347	15,293	8.30%	-28%	-21%	19%	29%	▼3.7pp	▼4.5pp	▼2.8pp	▼2.3pp	92%

Key Highlights:

1. Shopee NPC is currently **underperforming at -14%** vs. target of 40% mainly due to SG's performance at -62% due to higher logistics hidden fees charged to sellers
2. We breakdown the 19.5k more expensive in following slides to check root cause

[Counter TB Price Comp Deepdive] Out of 19.5K expensive SKU, 29% is due to structural pricing issue, while 71% is due to higher seller margin on our platform

Table: Counter TB Price Comp Root Cause Breakdown By Market & Cluster

Category	# SHP CB SKUs more expensive vs TB	Reason Attribution		SG	MY	TH	TW	VN	PH	Total
Total	19,472	Structural	Logistics fee	19%	0%	0%	1%	3%	0%	1 7%
			Platform fee	9%	33%	40%	14%	25%	20%	2 22%
		Non-Structural	Seller Pricing	72%	67%	59%	85%	72%	79%	3 71%
Fashion	2,566	Structural	Logistics fee	37%	0%	1%	0%	2%	1%	6%
			Platform fee	16%	47%	40%	8%	21%	30%	28%
		Non-Structural	Seller Pricing	47%	53%	59%	92%	77%	69%	66%
Furniture	7,844	Structural	Logistics fee	8%	0%	1%	11%	19%	0%	6%
			Platform fee	4%	10%	34%	11%	15%	6%	8%
		Non-Structural	Seller Pricing	88%	90%	65%	79%	66%	94%	86%
Food & Beverage	3,845	Structural	Logistics fee	33%	0%	0%	/	20%	0%	18%
			Platform fee	8%	34%	26%		20%	28%	20%
		Non-Structural	Seller Pricing	59%	66%	74%		60%	72%	62%
Beauty	5,217	Structural	Logistics fee	16%	0%	0%	1%	0%	0%	3%
			Platform fee	30%	52%	45%	17%	30%	16%	34%
		Non-Structural	Seller Pricing	54%	48%	54%	82%	70%	84%	64%

Deep Dive

Key Highlights

More expensive than TB across reasons attributed to:

- **Structural Price Difference** - 29% of SKUs, due to
  - Higher logistic fees
    - We are generally competitive on SLS rate card vs TB
  - Higher platform fee on our platform
    - MY/TH has more root cause attributed to platform fees because of relatively higher CB comm rate
- **Seller Pricing Issue** - 71% of SKUs, due to
  - High margin (greedy seller)
  - Inexperience wrong setting
  - Others incl. resale limitations, brand pricing control, etc

[Counter TB Price Comp Deepdive - Logistics] - Overall, Shopee is competitive against TB for both sea and air shipping rate except for SG Airway Shipping between 150g - 20kg order weight tier

Table: SHP vs TB Direct Shipping Logistics Rate Card Comparison

SHP Competitive vs TB | SHP Uncompetitive vs TB

Order Weight (g)	SG				MY				TH - Bangkok		PH				TW			
	Sea Shipping Channel		Air Shipping Channel		Sea Shipping Channel		Air Shipping Channel		TH Landway		Sea Shipping Channel		Air Shipping Channel		Sea Shipping Channel		Air Shipping Channel	
	% Orders	SHP	% Orders	SHP	% Orders	SHP	% Orders	SHP	% Orders	SHP	% Orders	SHP	% Orders	SHP	% Orders	SHP	% Orders	SHP
10	0.0%	2.96	2.1%	1.74	0.3%	0.39	2.7%	1.19	5.0%	0.74	0.0%	0.75	10.1%	1.33	0.4%	1.47	0.1%	3.11
20	0.0%	2.96	4.7%	1.74	0.7%	0.43	6.0%	1.23	9.7%	0.77	0.1%	0.75	22.1%	1.33	0.8%	1.47	0.3%	3.11
30	0.0%	2.96	7.7%	1.74	1.2%	0.46	11.3%	1.27	16.8%	0.80	0.1%	0.75	37.8%	1.33	1.4%	1.47	0.5%	3.11
40	0.0%	2.96	10.3%	1.74	1.6%	0.50	16.0%	1.30	22.2%	0.83	0.2%	0.75	49.1%	1.33	2.0%	1.47	0.7%	3.11
50	0.1%	2.96	19.3%	1.85	2.8%	0.53	32.5%	1.34	37.8%	0.87	0.3%	0.75	72.8%	1.33	4.7%	1.47	2.2%	3.11
100	0.2%	2.96	24.8%	2.44	3.5%	0.71	43.7%	1.51	45.6%	0.99	0.4%	1.15	81.5%	1.72	7.4%	1.47	3.8%	3.11
150	0.2%	2.96	28.8%	3.02	4.0%	0.89	51.5%	1.69	50.9%	0.99	0.4%	1.54	86.0%	2.12	9.9%	1.47	5.4%	3.11
200	0.4%	2.96	34.4%	3.05	4.6%	1.06	61.1%	1.87	57.1%	0.99	0.5%	1.30	90.3%	2.51	14.0%	1.47	8.4%	3.11
300	0.5%	2.96	38.1%	3.51	5.0%	1.42	66.8%	2.18	60.9%	0.99	0.5%	1.53	92.7%	3.30	17.0%	1.47	11.2%	3.11
400	0.6%	2.96	40.3%	3.98	5.2%	1.77	70.4%	2.44	63.2%	0.99	0.6%	1.76	94.0%	4.09	19.2%	1.47	13.4%	3.11
500	0.7%	2.96	41.8%	4.45	5.3%	1.77	72.8%	2.70	64.8%	0.99	0.6%	1.99	94.9%	4.87	20.8%	1.47	15.2%	3.11
1000	1.3%	3.58	46.1%	6.78	5.9%	1.77	79.4%	4.52	69.4%	1.98	0.7%	3.12	97.5%	8.81	26.1%	2.46	23.9%	4.09
1500	1.5%	4.21	46.5%	9.12	6.0%	2.96	80.1%	6.86	69.9%	2.97	0.8%	4.26	97.7%	12.75	26.9%	3.93	25.6%	5.40
2000	1.7%	4.83	46.9%	11.46	6.2%	2.96	80.5%	9.20	70.4%	3.95	0.8%	5.40	97.8%	16.68	27.5%	3.93	26.9%	5.40
3000	2.0%	6.39	47.0%	16.13	6.3%	4.14	80.7%	13.88	70.6%	5.93	0.8%	7.67	97.9%	24.56	27.8%	5.08	27.6%	10.32
5000	2.2%	9.50	47.1%	25.48	6.3%	6.50	80.8%	23.25	70.7%	9.89	0.8%	12.22	97.9%	40.30	28.0%	7.37	27.8%	18.18
10000	2.2%	16.67	47.1%	48.84	6.3%	12.42	80.8%	46.67	70.7%	19.77	0.8%	23.59	97.9%	79.67	28.0%	13.10	27.8%	37.83
15000	2.3%	23.83	47.1%	72.20	6.4%	18.33	80.8%	70.08	70.7%	29.66	0.8%	34.97	97.9%	119.04	28.0%	22.11	27.8%	57.48
20000	2.3%	31.00	47.1%	95.57	6.4%	24.24	80.8%	93.50	70.7%	39.54	0.8%	46.34	97.9%	158.40	28.0%	29.48	27.8%	77.13
25000	2.3%	38.16	47.1%	118.93	6.4%	30.16	80.8%	116.91	70.7%	49.43	0.8%	57.71	97.9%	197.77	28.0%	36.85	27.8%	96.78
30000	2.3%	45.33	47.1%	142.30	6.4%	36.07	80.8%	140.33	70.7%	59.32	0.8%	69.08	97.9%	237.14	28.0%	44.22	27.8%	116.44

Note: (i) Rate card in USD, (ii) Rate Card reflects ASF (BPSF + Hidden Fee), blended across available air/sea shipping channels. (iii) PH BPSF is weighted across Zones A/B/C, (iv) Order breakdown may not total to 100% due to exclusion of Collection point and other logistics channels, (v) VN excluded as TB channel closed in May'25 (vi) TB rate card reflects direct shipping (not consolidated) for a like-for-like comparison with SHP

Key Highlights

1. Shopee is competitive against TB (Cainiao Official Direct Shipping channel) for both sea and air shipping except for SG Airway shipping.
   a. SG Airway shipping is uncompetitive at 150g–20kg order weight tier, which covers 20% of SG orders.

[Counter TB Price Comp Deepdive - Commission] - Shopee charges a higher commission fee vs TB, in particular for SG/MY/TH/VN, the gap ranges between 9% to 13%

Sep'25 Commission Fee SHP vs Taobao

Commission Fee	Taobao	Shopee						Shopee vs Taobao Commission Gap					
		SG	MY	TH	VN	TW	PH	SG	MY	TH	VN	TW	PH
Fashion	5%	14%	18.36%	18.19%	14.33%	7%	11%	+9%	+13.36%	+13.19%	+9.33%	+2%	+6%
Furniture	5%	14%	18.36%	18.19%	14.33%	7%	11%	+9%	+13.36%	+13.19%	+9.33%	+2%	+6%
F&B	2%	14%	18.36%	18.19%	14.33%	7%	11%	+12%	+16.36%	+16.19%	+12.33%	+5%	+9%
Beauty	4%	14%	18.36%	18.19%	14.33%	7%	11%	+10%	+14.36%	+14.19%	+10.33%	+3%	+7%

Note: All commission fee is for SLS fulfillment
SG: 14%, MY: 18.36%, TH: 18.19% (non-mall), VN: 14.33%, TW:7%, PH: 11%

Key Highlights

1. SHP is uncompetitive vs TB for commission fee across all regions.
   a. Next step: We will assess impact if we were to match TB in shipping rates and commission rates where we are not competitive against to improve our NPC

[Counter TB Price Comp] With immediate actions to improve NPC, to solve structural difference in logistics hidden fee and commission

WIP

Metrics	Metrics Breakdown		Current	Option 1	Option 2	Ref: Target
Assumption	Logistics Fee Reduction	Rationale for heavy weight (>150g)	/	**Match TB**	**Further Reduce**	
		SLS profit margin for TB program	**37%**	**27%**		
		SLS profit margin for TB heavy weight	**41%**	**1%**		
	Commission Reduction		**14%**	**5%**		
	Seller Margin Reduction		0%	0%		
Impact - Topline	ADO		3,137	3,318		/
		ADO uplift vs current		+6%		/
Impact - P&L	MP PC2		$ 62,583	$ 63,169	WIP	/
	SLS		$ 97,766	$ 80,050		/
	MP PC2+SLS		**$ 160,348**	**$ 143,219**		/
		MP PC2+SLS vs current		**$ (17,129)**		/
Impact - NPC%	Fashion		-41%	22%		+40%
	Furniture		-81%	-69%		+40%
	Food & Beverage		-78%	-37%		+40%
	Beauty		0%	41%		+40%
	Total		**-62%**	**-35%**		**+40%**
		NPC vs Current		**27%**		

Make senses that helps more with Fashion and Beauty as used more airway where we adjust shipping rate card

3 [Counter TB Price Comp Deepdive - Seller Pricing] - At least 28% of seller margin issue can be addressable via seller education and continuous RM pushes

Table: Counter TB Price Comp Root Cause Breakdown based on RM/Seller feedback

Addressable Pool | Non-addressable Pool

Root Cause	Details	Reasons Attribution	Key Findings	Next Step
Seller Margin	**Total**	**71%**	/	/
	Inexperienced Sellers	9%	Some new SHP sellers lack pricing strategy, listing items at 1.5–2x TB prices (e.g., 四川瑾斯). Others use logistic rate cards that is not optimise for their product profile, increasing logistics costs (using air rate, instead of heavy rate)	**[Ongoing]** Collect more feedback from RMs to better understand how sellers are setting their prices on SHP, and educate inexperienced sellers to ensure they set appropriate listing prices on Shopee.
	Unresponsive Sellers	19%	No response from sellers during previous price negotiation cycle	To continue to reach out to sellers to adjust down price
	Brands with Pricing Control	8%	Some sellers control prices domestically but keep the same pricing across TTS/LZD/SHP for international sales.	**[Ongoing]** For greedy sellers who do not want to lower price, we will pitch again to reduce price using hidden fee reduction as a lever.
	Resellers	3%	Some SHP SKUs come from resellers, not brand principals, leading to higher markups due to higher operating costs (e.g., reseller 黄石峰源 vs. brands 宁波市山, 福州哲思).	
	Greedy	24%	Some sellers deliberately set high markups and resist price adjustments despite negotiations.	
	Others	8%	OOS, out-of-season SKUs de-prioritized by sellers, lost contact with sellers	